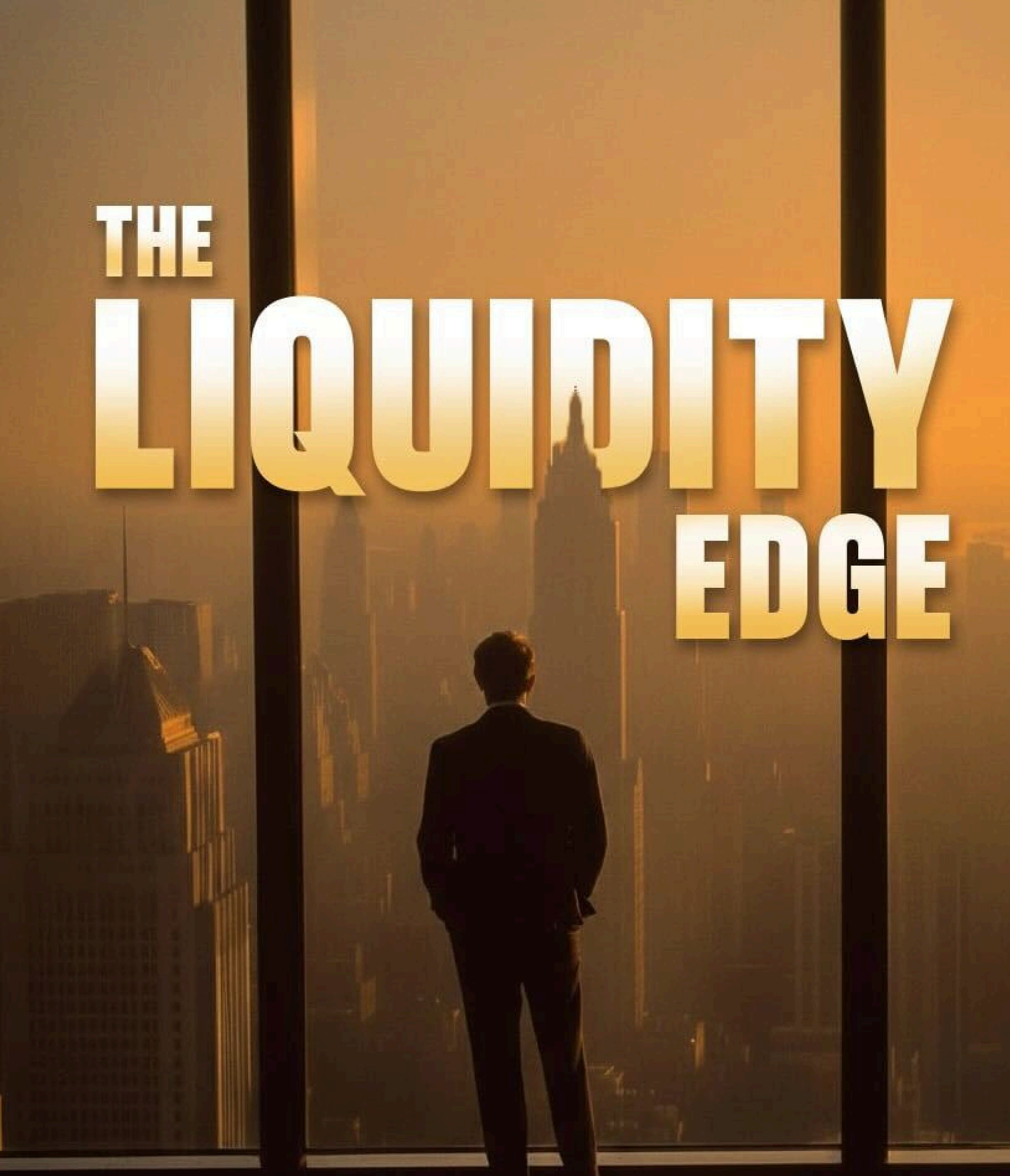
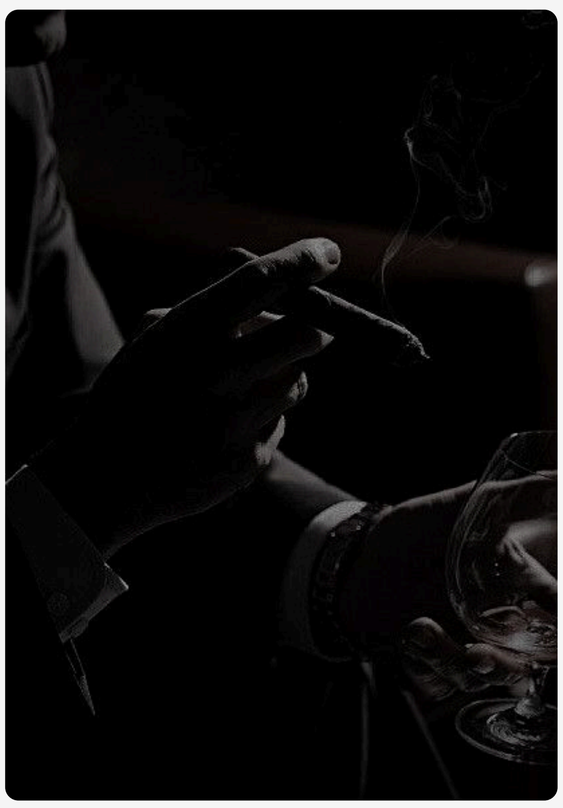
# THE LIQUIDITY EDGE



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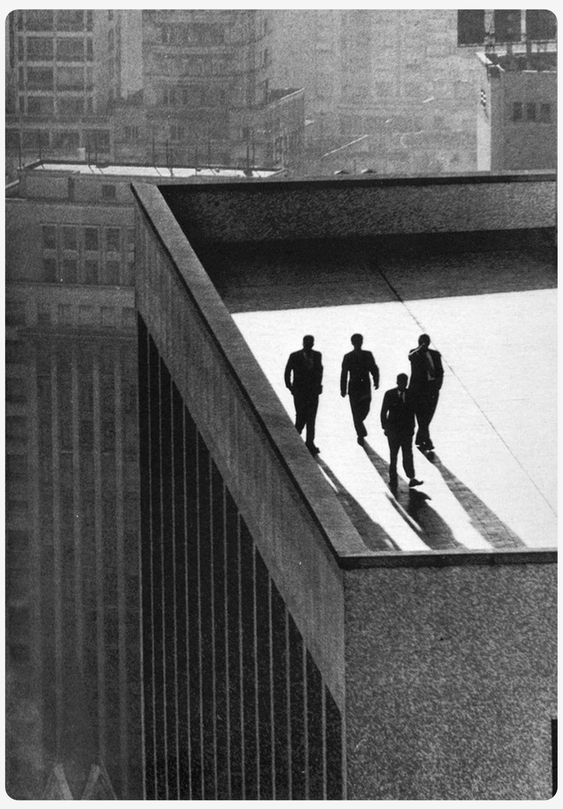
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# Introduction to Liquidity

These clusters of stop losses represent **fuel** for big moves. When an institution wants to enter a massive position-let's say 10,000 contracts-they can't just market buy. That would push price against them instantly. Instead, they need liquidity. So what do they do? They push price into these stop loss clusters, trigger all the stops (which become market orders), and use those market orders to fill their actual position. Then price reverses in their intended direction.

This is why the Smart Liquidity Indicator exists. It automatically identifies these liquidity pools and shows you when they're being targeted.

## Built by Traders, for Traders

This indicator is the product of real trading experience, not theoretical concepts. Soulz and the team have poured their collective knowledge into creating something that doesn't just look good on a chart, it actually helps you make better trading decisions. Every feature has been battle-tested in live market conditions, refined based on actual results, and optimized for clarity and actionability.

**What This Guide Will Teach You**

If you've been trading for any amount of time, you've probably experienced this: you enter a trade with a clear setup, price moves against you by a few pips to hit your stop loss, then immediately reverses in your original direction. You were right about the move, but still lost money.

This isn't bad luck. It's liquidity hunting.

In this guide, I'm going to show you how institutional traders-the banks, hedge funds, and market makers-actually move the market. More importantly, I'll show you how to identify their footprints and trade alongside them instead of being their exit liquidity.

**What is Liquidity in Trading?**

Liquidity is simply **orders waiting to be filled**.
In practice, this means stop losses that cluster at predictable locations.
Think about where most traders place their stops:

- Just below swing lows (if they're long)
- Just above swing highs (if they're short)
- At round numbers (psychological levels)
- At equal highs or lows (multiple tests)

# The Liquidity Edge




**Why Traditional Indicators Don't Show This**

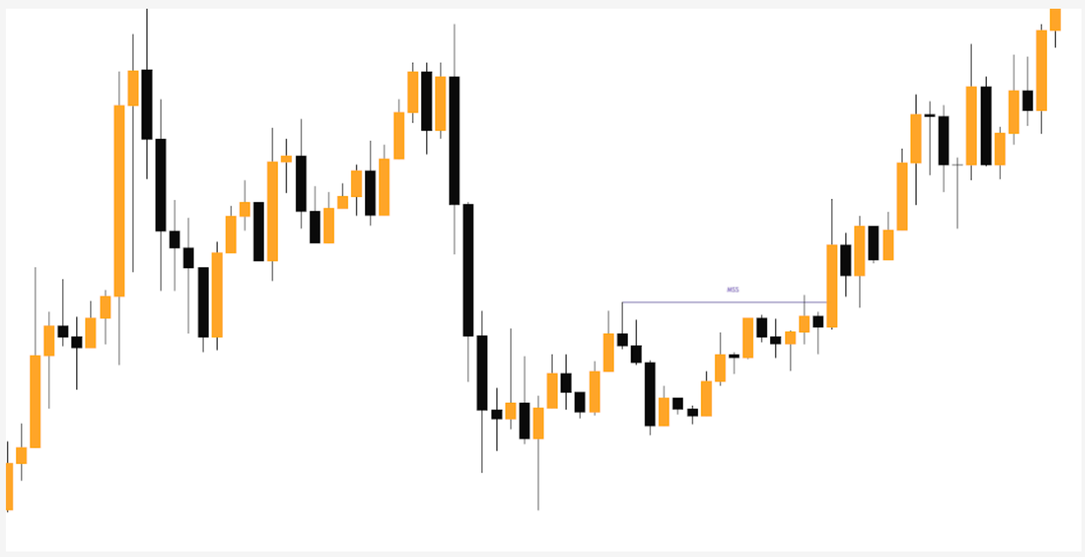
Most indicators you're familiar with-moving averages, RSI, MACD-are lagging. They tell you what happened, not what's about to happen.

Smart Money Concepts (SMC) are different. They show you:

- Where institutions have their orders (Order Blocks)
- Where price moved too fast (Fair Value Gaps)
- Where stops are clustered (Liquidity)
- When trends are changing (Market Structure)

The problem? Manually identifying all of these takes forever. You need multiple indicators, constant attention, and even then you might miss setups.

That's what I built the Smart Liquidity Indicator to solve. Everything you need to trade like institutions, in one tool.




**What You'll Learn**

By the end of this guide, you'll understand:

1. **Market Structure** - How to identify trend changes and continuations
2. **Liquidity Detection** - Where stop losses cluster and how to trade sweeps
3. **Order Blocks** - The exact zones where institutions placed their orders
4. **Fair Value Gaps** - Price inefficiencies that act as magnets
5. **Volume Imbalance** - Hidden institutional footprints
6. **Displacement** - Signs of large orders hitting the market
7. **Session Gaps** - Weekly and daily imbalances
8. **Killzones** - Optimal timing for your trades
9. **Sweep Detection** - Automatic alerts when liquidity gets taken

And most importantly, how to combine all of these for high-probability setups.



# Who Should Use This Indicator?

**Perfect For:**

**Swing Traders**

- Multi-day to multi-week holds
- Use higher timeframe structure (Daily/4H)
- Enter on lower timeframe (1H) confirmations
- Target liquidity pools and structure breaks

**Intraday Traders**

- Same-day entries and exits
- Use 4H for structure, 15M for entries
- Killzones help with timing
- Session gaps provide reversal zones

**Scalpers**

- Quick entries on 5M/1M charts
- Focus on FVG rebalancing and sweeps
- Volume imbalance for instant reactions
- Displacement for momentum trades

**Not Ideal For:**

**Complete Beginners** (without some Smart Money education)

- The indicator assumes you understand basic SMC concepts
- You need to know what liquidity, structure, and order flow mean
- Read the PDF I attached or study Smart Money basics first

**"Set and Forget" Traders**

- This isn't a buy/sell signal indicator
- It requires analysis and decision-making
- You need to combine multiple signals
- Context matters more than individual alerts

**Indicator Collectors**

- If you already have 20+ indicators on your chart, this won't help
- Smart Liquidity works best when it's the MAIN tool
- Remove other clutter
- Focus on what this shows you

**Skill Level Required**

**Minimum Knowledge:**

- Understanding of support/resistance
- Basic candlestick patterns
- What stop losses are and where traders place them
- Trend identification (higher highs, lower lows)



# MARKET STRUCTURE (MSS & BOS)

**Understanding Market Structure**
Market structure is the foundation of everything. Before you enter any trade, you need to answer one question: **Is price in an uptrend, downtrend, or ranging?**

This sounds simple, but most traders get it wrong. They see a few green candles and call it an uptrend. They see red candles and call it a downtrend. But real market structure is about **swing points** and how price interacts with them.

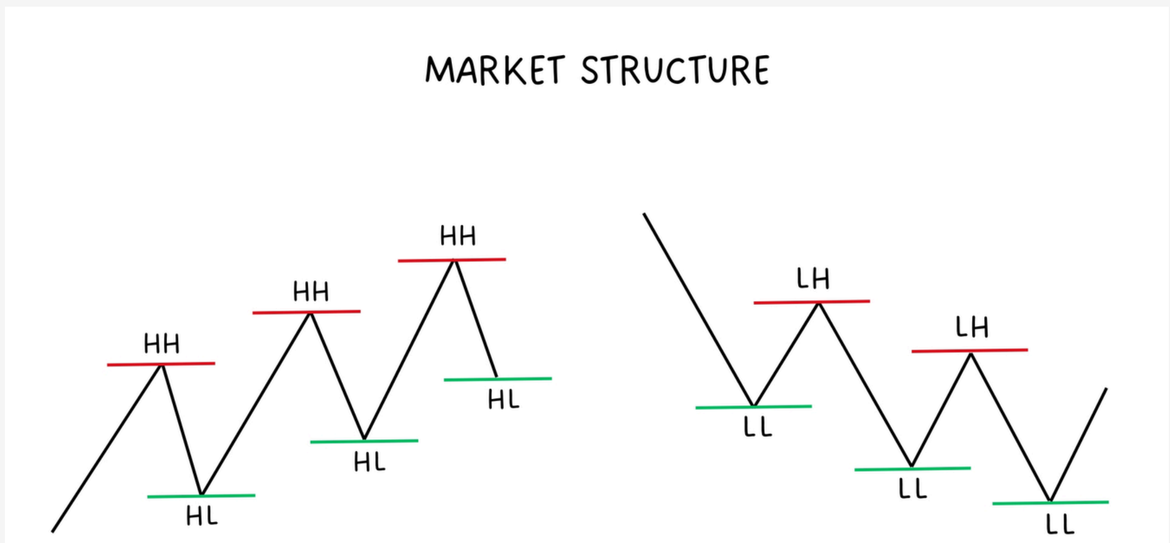
**The Basics of Structure**
An uptrend is defined by:

- Higher Highs (HH)
- Higher Lows (HL)

A downtrend is defined by:

- Lower Highs (LH)
- Lower Lows (LL)

Sounds textbook, right? But here's where it gets interesting: breaks in this structure tell you everything.



# The Liquidity Edge

## *What is MSS (Market Structure Shift)*

**Market Structure Shift = Trend Change**

An MSS occurs when price breaks through a key structural point in the OPPOSITE direction of the current trend.

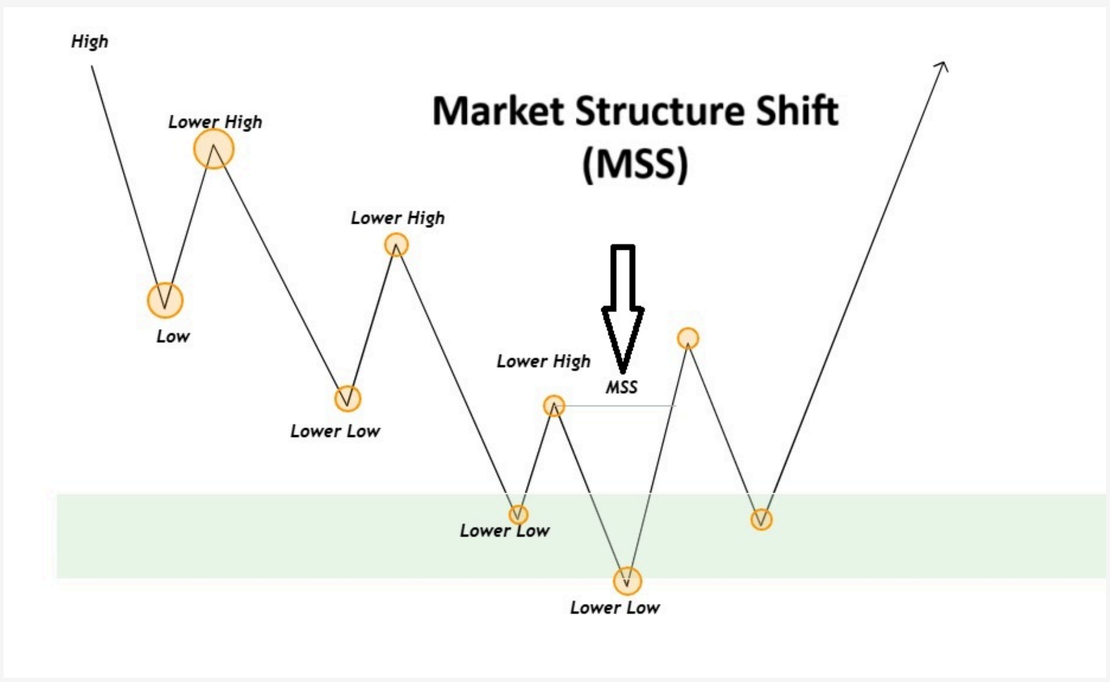
**In an Uptrend:**

- Price making higher highs and higher lows
- MSS = Price breaks BELOW the most recent significant swing low
- This signals potential trend change from up to down

**In a Downtrend:**

- Price making lower highs and lower lows
- MSS = Price breaks ABOVE the most recent significant swing high
- This signals potential trend change from down to up

The Smart Liquidity Indicator automatically detects these breaks and marks them with horizontal lines and "MSS" labels. You don't need to manually identify swing points or guess which breaks matter-the indicator does it for you.




**Why MSS Matters for Trading**

When you see an MSS, institutions are signaling a shift. They're no longer defending the previous trend. This is your cue to:

1. Exit trades in the old trend direction
2. Prepare to enter trades in the new direction
3. Look for confirmation (Order Blocks, FVGs, liquidity sweeps)

I don't trade MSS blindly. But when MSS aligns with other confluences, it's one of the highest-probability setups.



# The Liquidity Edge

**BOS (Break of Structure)**
A Break of Structure occurs when price breaks a swing point in the **same** direction as the current trend. This confirms trend continuation.

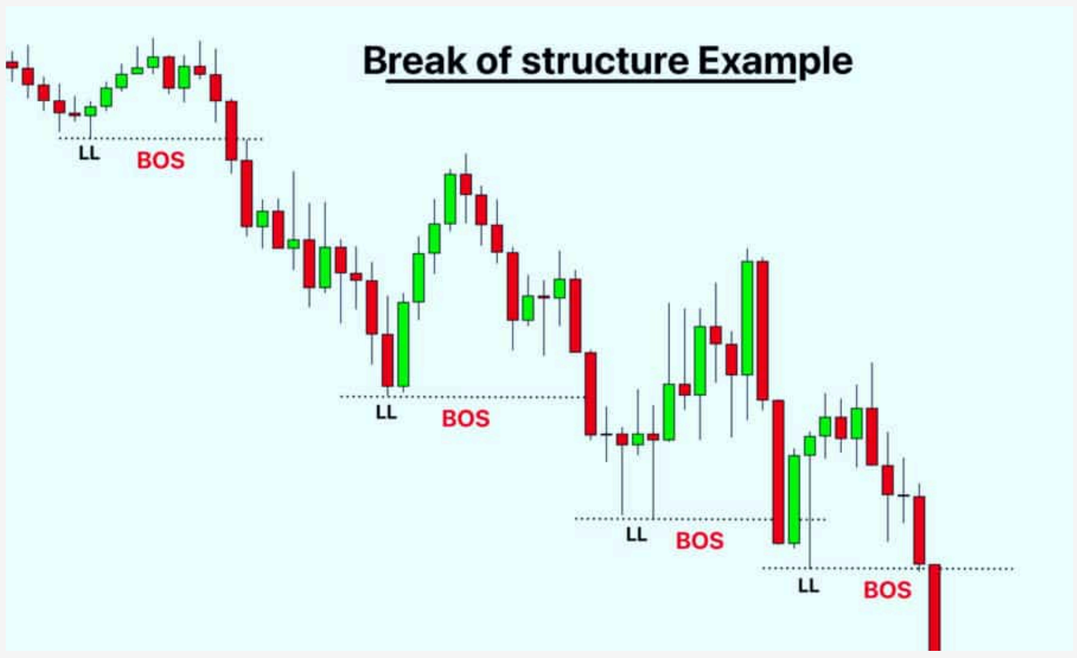
**In an Uptrend:**

- MSS already confirmed uptrend direction
- BOS = Price breaks **above** recent swing highs
- This confirms the uptrend is still strong
- Institutions are still buying

**In a Downtrend:**

- MSS already confirmed downtrend direction
- BOS = Price breaks **below** recent swing lows
- This confirms the downtrend is still strong
- Institutions are still selling

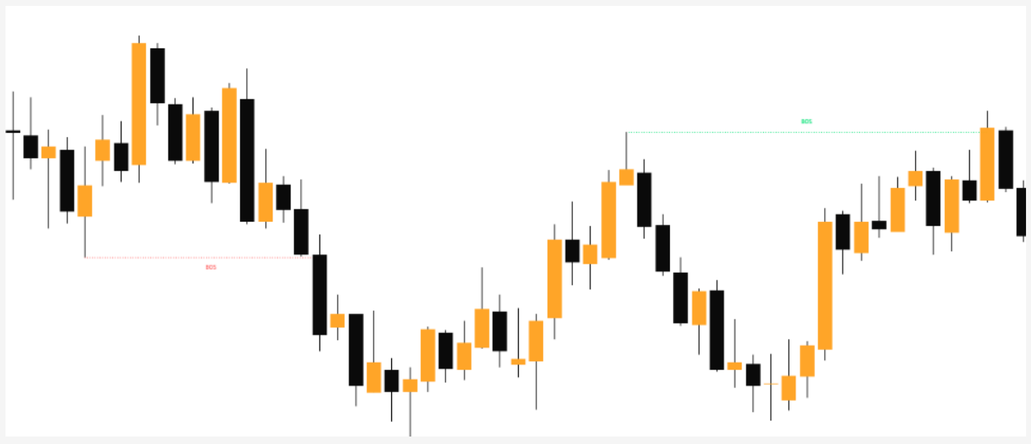
Again, the Smart Liquidity Indicator marks these automatically with "BOS" labels in a lighter color than MSS.




**Why BOS Matters for Trading**
BOS tells you the trend is healthy and continuing. When I see a BOS:

1. I look to enter in the trend direction on pullbacks
2. I avoid counter-trend trades
3. I use each BOS level as a new support/resistance

The most powerful trades happen when price pulls back after a BOS, retests a key zone (Order Block or FVG), then continues in the trend direction.



# The Liquidity Edge

**The Length Parameter**
The indicator has a "Length" setting that controls how sensitive structure detection is. This is **critical** to understand.

**What Length Controls**
Length = Number of candles used to confirm a swing point

- **Length = 3**: Very sensitive, detects small swings, more signals (can be noisy)
- **Length = 5**: Balanced, good for most timeframes (default)
- **Length = 10**: Less sensitive, only major swings, fewer but cleaner signals

**How to Choose Your Length**
**Based on Timeframe:**

- 1M-5M charts: Length 3-4
- 15M-1H charts: Length 5-6
- 4H-Daily charts: Length 7-8
- Weekly+ charts: Length 8-10

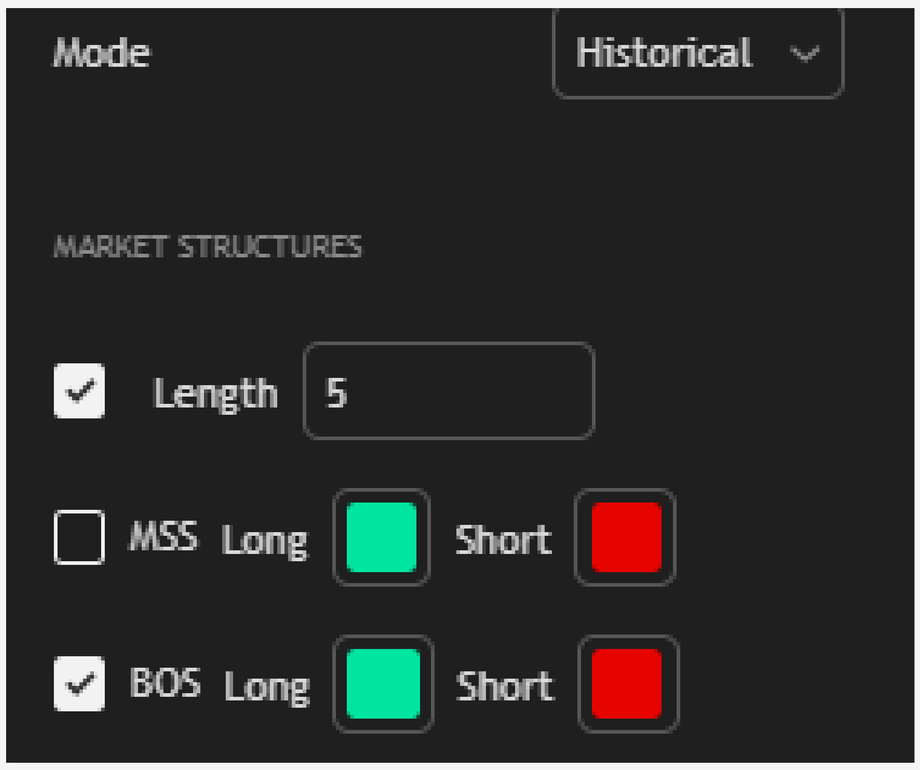
**Based on Trading Style:**

- Scalper (many trades): Lower length (3-5)
- Swing trader (few trades): Higher length (6-10)

**Based on Market Conditions:**

- High volatility: Lower length to catch moves
- Low volatility: Higher length to filter noise

I personally use **Length = 5** on most timeframes. It gives me a good balance of catching important breaks without overwhelming me with every minor swing.




## *Trading Structure Breaks*

Now that you understand MSS and BOS, here's how to trade them.

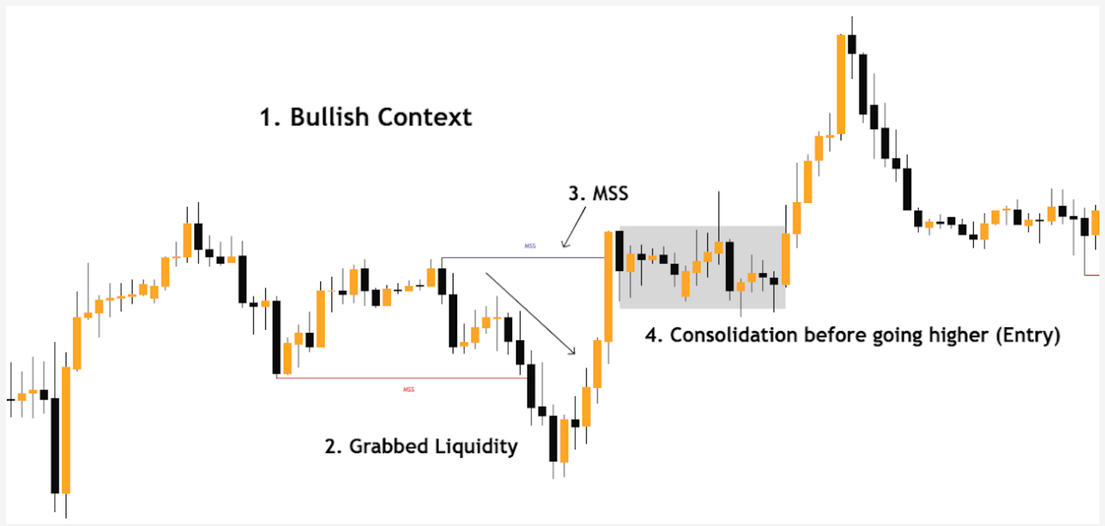
## *Strategy 1: MSS Reversal Entry*

**Setup:**

1. Wait for MSS to occur (trend change signal)
2. Price breaks key structural level
3. Wait for pullback to broken level or nearby zone
4. Enter in new direction

**Example - Bullish MSS:**

1. Downtrend in place (lower lows, lower highs)
2. Price breaks above previous swing high → MSS appears
3. Wait for price to pull back
4. Enter long at:
    - Order Block near MSS level
    - FVG near MSS level
    - 50% retracement
5. Stop loss: Below MSS level
6. Target: Next liquidity pool or swing high



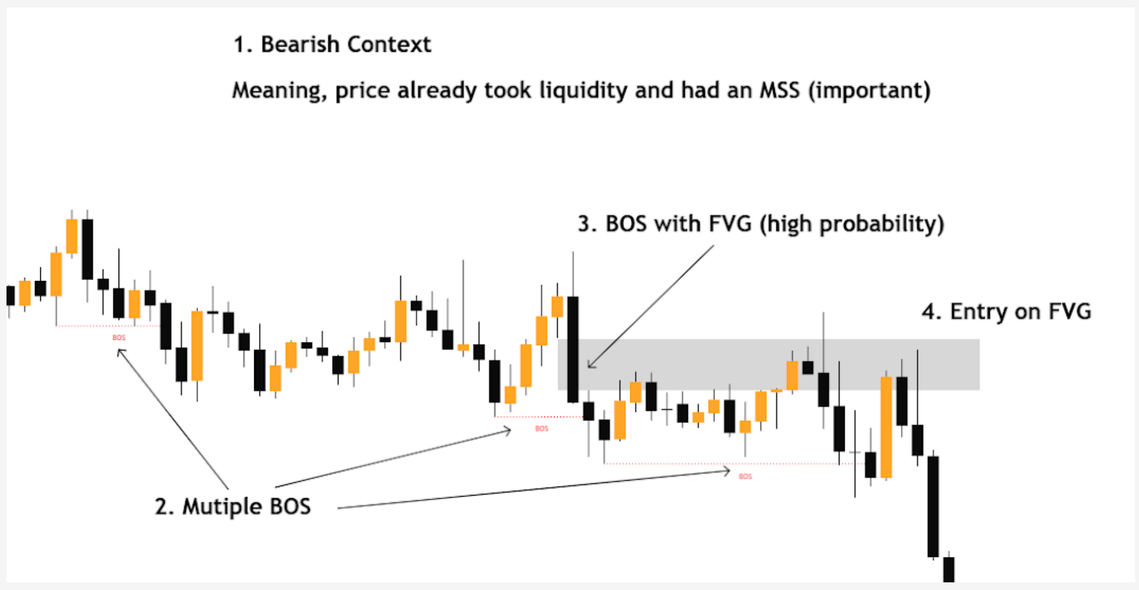
### *Strategy 2: BOS Continuation Entry*

**Setup:**

1. MSS already established trend direction
2. Wait for BOS (continuation signal)
3. Enter on pullback in trend direction

**Example - Bullish BOS:**

1. Uptrend confirmed by MSS
2. Price breaks above swing high → BOS appears
3. Wait for pullback (don't chase)
4. Enter long at:
    - FVG created during BOS move
    - Order Block before BOS
    - 50% or 0.618 Fibonacci
5. Stop loss: Below pullback low (not below MSS)
6. Target: Next BOS level or liquidity




### *Combining Structure with Other Features*

I never trade structure alone. The highest-probability setups combine structure with:

**MSS + Order Block:**

- MSS marks trend change
- Enter at Order Block that formed during the break
- Institutions placed orders there

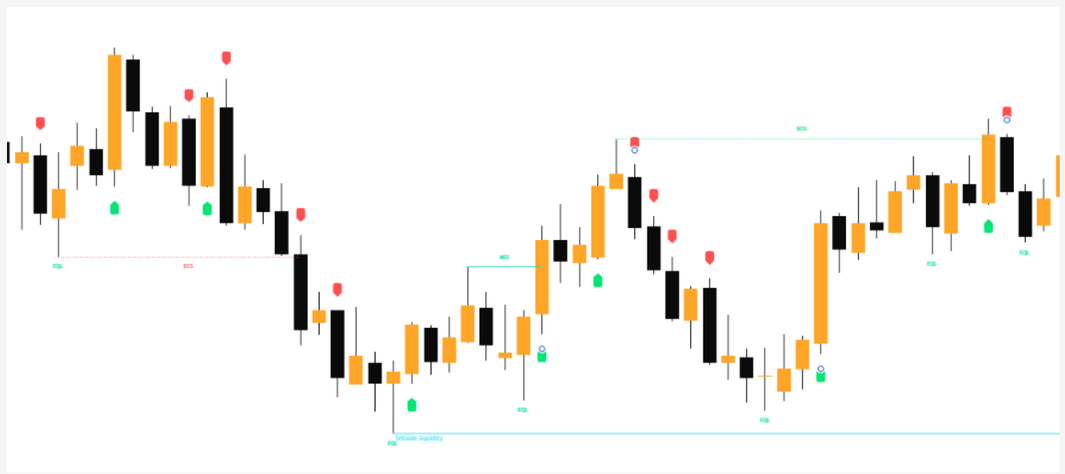
**MSS + Liquidity Sweep:**

- Price sweeps liquidity pool first
- Then breaks structure (MSS)
- Enter on pullback
- Institutions grabbed liquidity AND changed trend

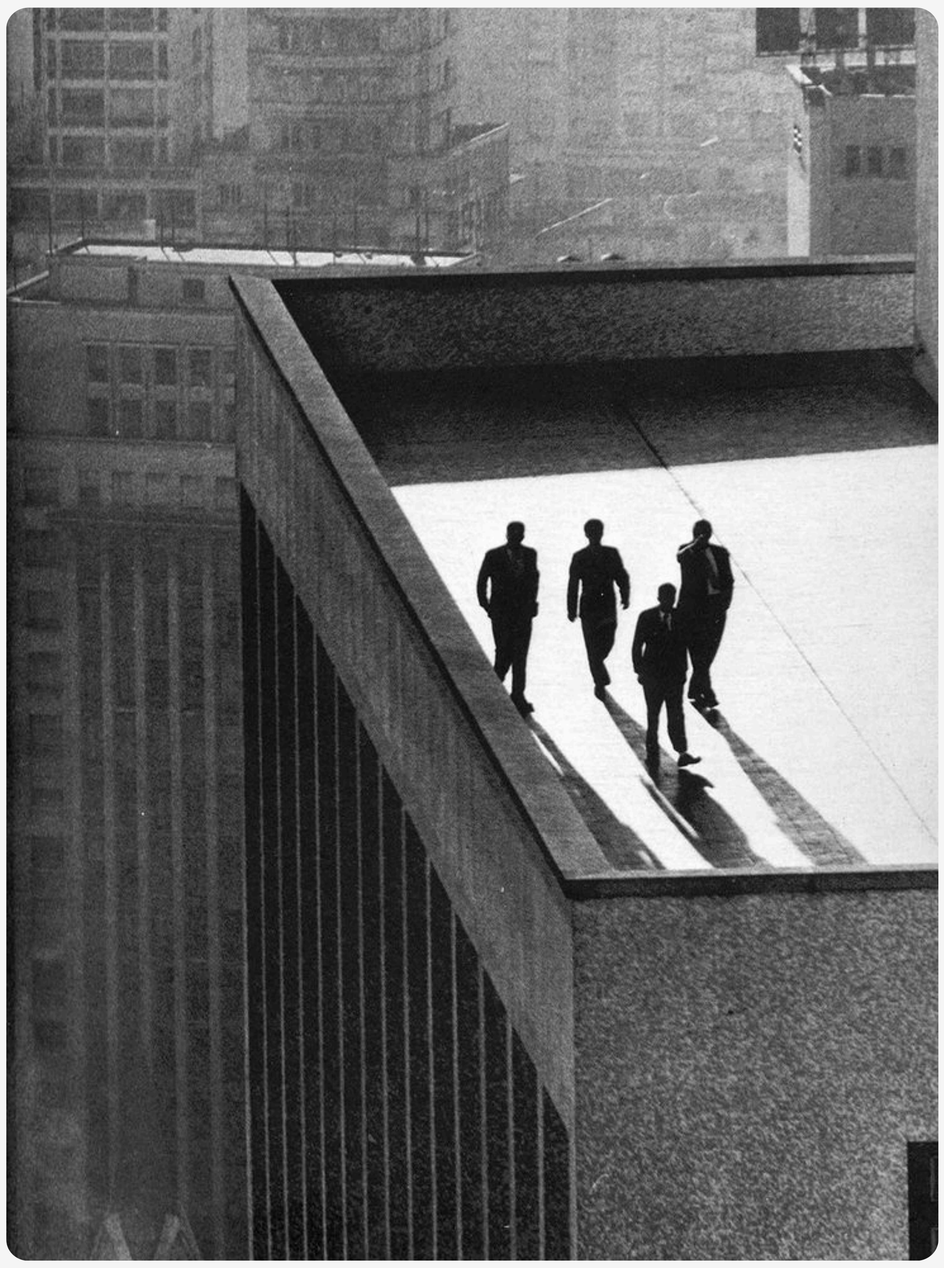
**BOS + FVG:**

- BOS confirms trend
- FVG forms during BOS move
- Enter when price rebalances the FVG
- High-probability continuation

The Smart Liquidity Indicator shows you all of these automatically on one chart. You see the structure breaks, the Order Blocks, the FVGs, and the liquidity-all color-coded and labeled. No manual work required.



# MSS & BOS



# LIQUIDITY DETECTION

## Understanding Liquidity Pools

Liquidity is the fuel that moves price. Without it, large institutional orders cannot be filled. This is why understanding where liquidity sits and how it gets taken is crucial.

## What is Liquidity in Trading?

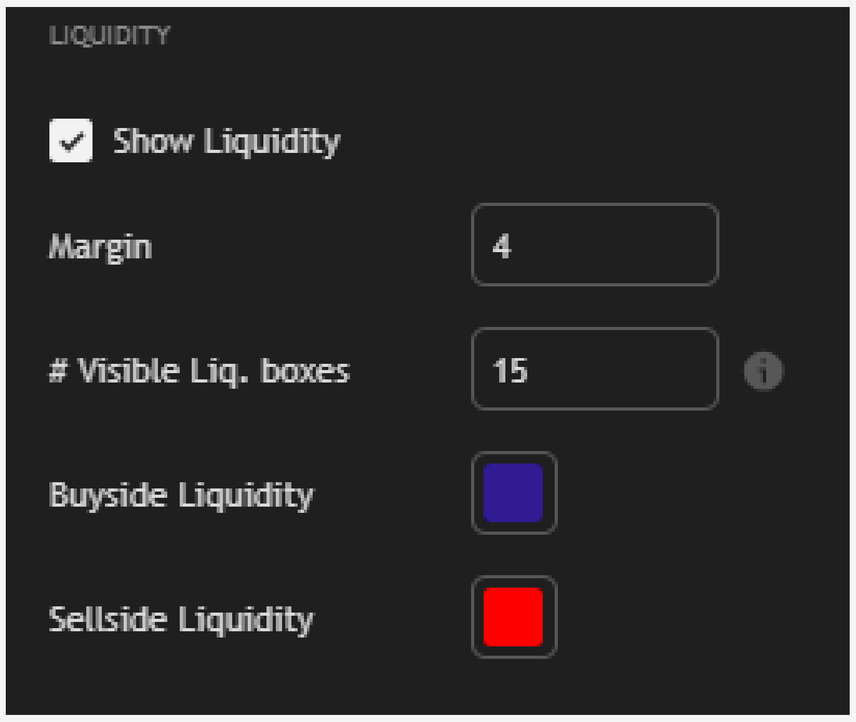
**Liquidity = Orders waiting to be filled**

Specifically, we're talking about **stop loss orders** that cluster at predictable locations.

**Where Stop Losses Cluster:**

1. Just beyond swing highs (breakout traders' short stops)
2. Just below swing lows (breakout traders' long stops)
3. At round numbers (psychological levels)
4. At equal highs/lows (multiple tests = more stops)

The Smart Liquidity indicator automatically identifies these clusters and marks them on your chart.



### *Buy-Side Liquidity (BSL)*

**Buy-Side Liquidity = Stop losses ABOVE price**

**These are clusters of:**

- **Buy stops** from traders who shorted and placed stops above resistance
- **Stop losses** from breakout traders waiting to buy if price breaks up

**When price sweeps BSL:**

- All these stops trigger
- They become market BUY orders
- This provides selling liquidity for institutions who want to SELL

**Visual on Chart:**

- Box drawn above recent swing highs
- Label: "Buyside liquidity"
- Color: Orange/Red (default)
- Line extending from cluster point




### *Sell-Side Liquidity (SSL)*

**Sell-Side Liquidity = Stop losses BELOW price**

**These are clusters of:**

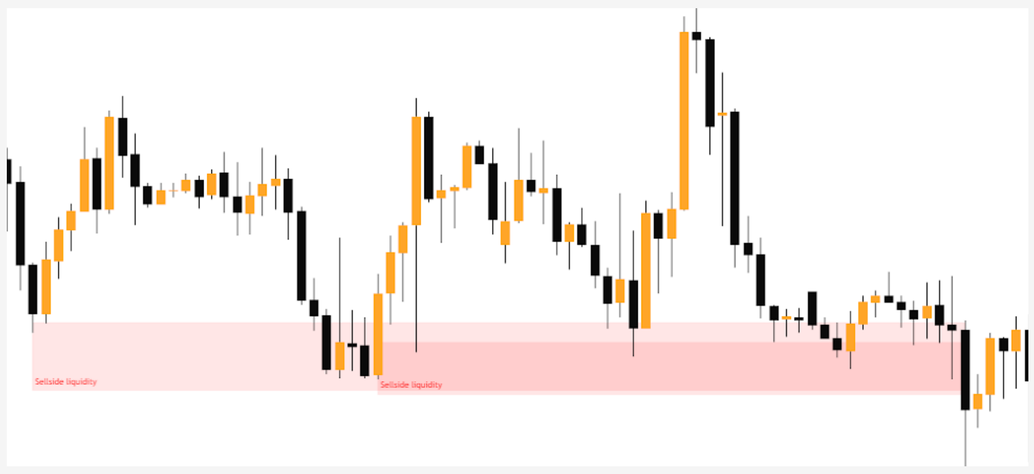
- **Sell stops** from traders who went long and placed stops below support
- **Stop losses** from breakout traders waiting to sell if price breaks down

**When price sweeps SSL:**

- All these stops trigger
- They become market SELL orders
- This provides buying liquidity for institutions who want to BUY

**Visual on Chart:**

- Box drawn below recent swing lows
- Label: "Sellside liquidity"
- Color: Cyan/Blue (default)
- Line extending from cluster point




LIQUIDITY

## *How The Indicator Calculates Liquidity*

The Smart Liquidity Indicator uses a sophisticated algorithm to detect liquidity clusters. Let me break down what it's doing behind the scenes.

**The Cluster Logic**

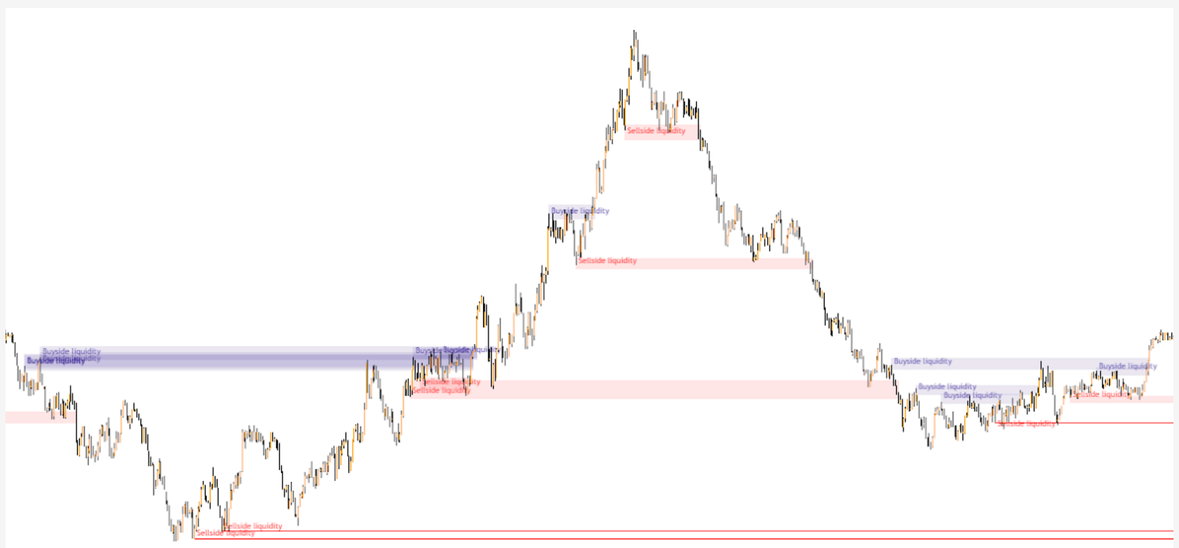
The indicator:

1. Identifies swing highs and swing lows
2. Checks if multiple swings are clustered close together
3. If 3 or more swings sit within a specific range of each other
4. Draws a liquidity box covering that cluster

**Why 3+ swings?**

- One swing = just a swing
- Two swings = could be random
- Three+ swings = retail traders definitely have stops there





## *The Margin Parameter*

This is critical for liquidity detection accuracy.

**Formula:** ATR / Margin = Zone Width`

**How it works:**

- ATR measures recent volatility
- Dividing by Margin creates a zone around each swing
- Swings within this zone are considered "clustered"

**Margin = 2 (Very Wide)**

- Large zone width
- Catches swings farther apart
- More liquidity boxes appear
- May include swings that aren't truly clustered
- Use when: High volatility, larger timeframes

**Margin = 4 (Balanced - Default)**

- Moderate zone width
- Good balance of sensitivity
- Catches clear clusters without noise
- Use when: Normal conditions, most trading

**Margin = 7 (Very Tight)**

- Small zone width
- Only extremely tight clusters detected
- Fewer liquidity boxes
- Use when: Low volatility, smaller timeframes, clean charts needed

**My Recommendation**

Start with Margin = 4. Trade with it for at least 2 weeks. If you're seeing too many liquidity boxes (chart is cluttered), increase to 5 or 6. If you're missing obvious liquidity pools, decrease to 3. Different markets and timeframes need different margins. Crypto and forex are more volatile-I use 3-4. Stocks and indices are less volatile-I use 5-6.

LIQUIDITY

## *Trading Liquidity Sweeps*

This is where liquidity becomes actionable.

## *What is a Liquidity Sweep?*

**Sweep = Price briefly penetrates liquidity zone, triggers stops, then immediately reverses**

The pattern:

1. Price approaches liquidity box
2. Price breaks into/through the box (1-3 candles)
3. Stops trigger, orders fill
4. Price sharply reverses in opposite direction
5. Move continues away from liquidity

**This happens because:**

- Institutions needed those stops to fill their orders
- They had no intention of continuing in that direction
- The reversal is their actual position



## *Trading Strategy: SSL Sweep for Longs*

**Setup:**

1. Identify SSL box below recent swing lows
2. Wait for price to approach
3. Watch for sweep (price penetrates box)
4. Look for immediate reversal candle
5. Enter long

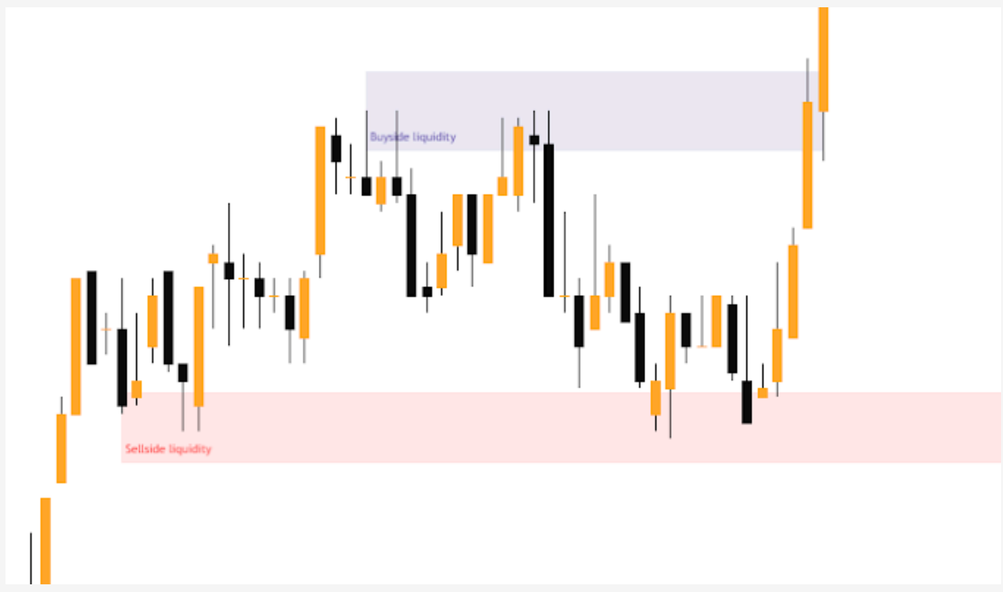
**Entry Triggers:**

- Strong bullish engulfing candle
- Displacement to upside
- FVG creation during reversal
- Order Block formed at sweep low (depends)

**Stop Loss:** Below the sweep low (below the liquidity box)

**Target:**

- Opposite liquidity (BSL above)
- Next structure high
- Previous swing high




LIQUIDITY

### *Trading Strategy: BSL Sweep for Shorts*

**Setup:**

1. Identify BSL box above recent swing highs
2. Wait for price to approach
3. Watch for sweep (price penetrates box)
4. Look for immediate reversal candle
5. Enter short

**Entry Triggers:**

- Strong bearish engulfing candle
- Displacement to downside
- FVG creation during reversal
- Order Block formed at sweep high




### *Combining Liquidity with Structure*

The most powerful setups combine liquidity sweeps with structure breaks.

**Pattern 1: SSL Sweep + MSS**

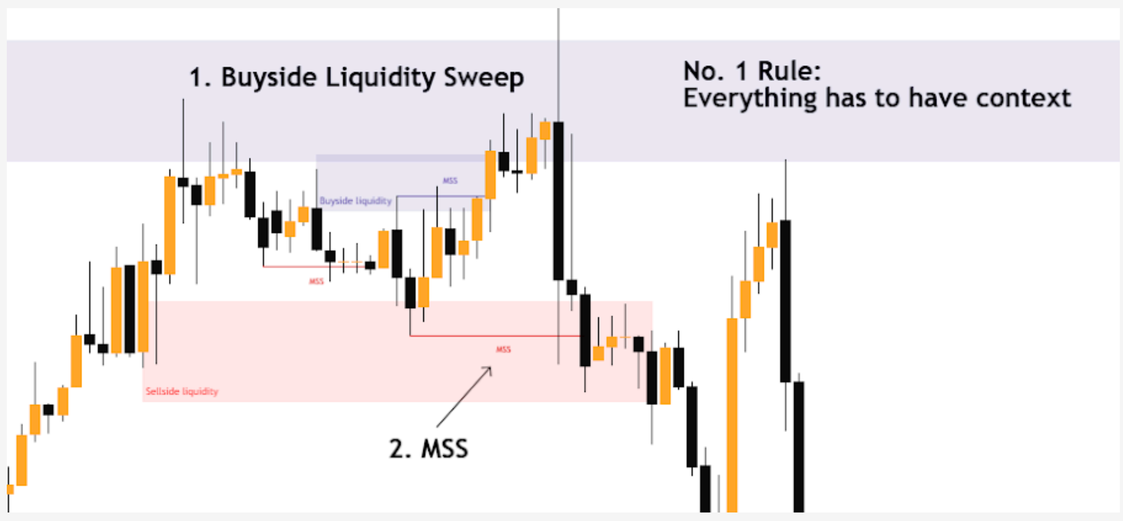
1. Price sweeps SSL (triggers sell stops)
2. Creates buying for institutions
3. Price breaks structure upward (MSS)
4. Confirms trend change
5. Strong uptrend typically follows

**Pattern 2: BSL Sweep + MSS**

1. Price sweeps BSL (triggers buy stops)
2. Creates selling for institutions
3. Price breaks structure downward (MSS)
4. Confirms trend change
5. Strong downtrend typically follows

**Pattern 3: Internal Liquidity + BOS**

1. During uptrend, price pulls back
2. Sweeps internal SSL (liquidity within trend)
3. Then breaks structure upward (BOS)
4. Confirms continuation
5. Uptrend resumes





# ORDER BLOCKS

**What Are Order Blocks**

Order Blocks are the exact zones where institutions placed their orders before a strong move. When price returns to these zones, institutions often defend them-either adding to their position or exiting at breakeven.

**The Concept**

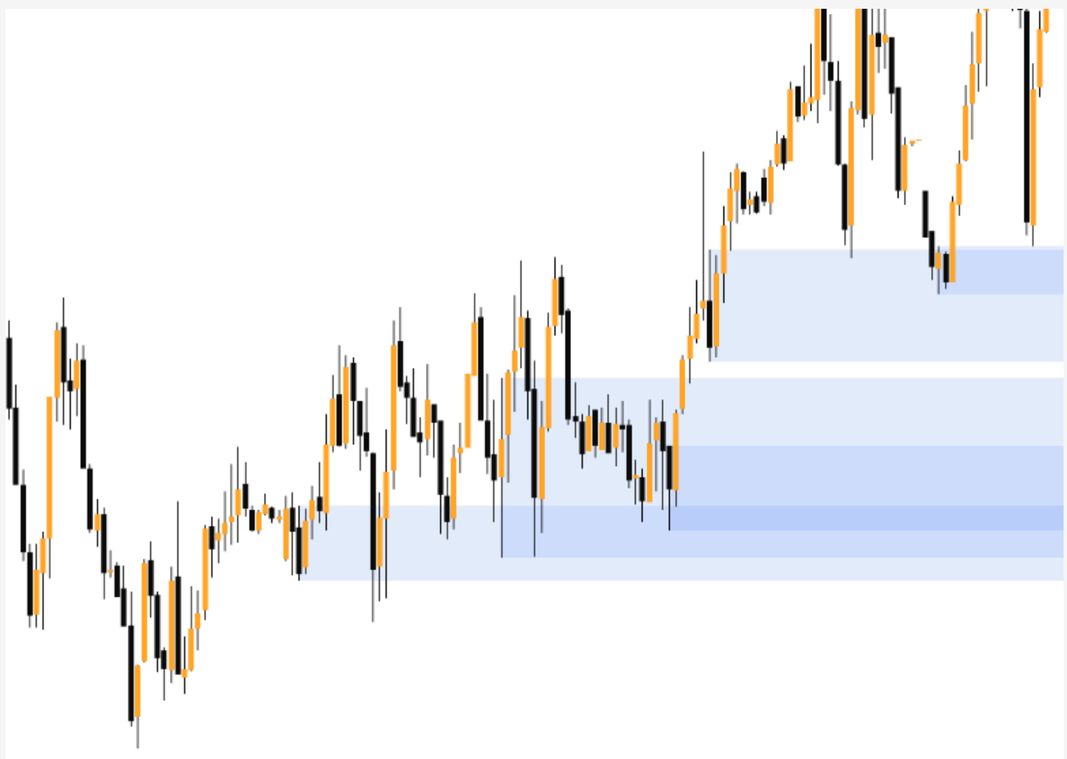
Think of it this way:

- An institution wants to buy 10,000 contracts
- They can't market buy (would push price against them)
- Instead, they place limit orders in a specific zone
- Price comes to that zone, absorbs their orders
- Then price explodes in their intended direction
- **That zone where they bought = Bullish Order Block**

When price later returns to that Order Block, one of two things happens:

- The institution defends it (adds more to their position)
- The institution exits (if their read was wrong)

Most of the time, they defend it. This makes Order Blocks act as strong support and resistance.



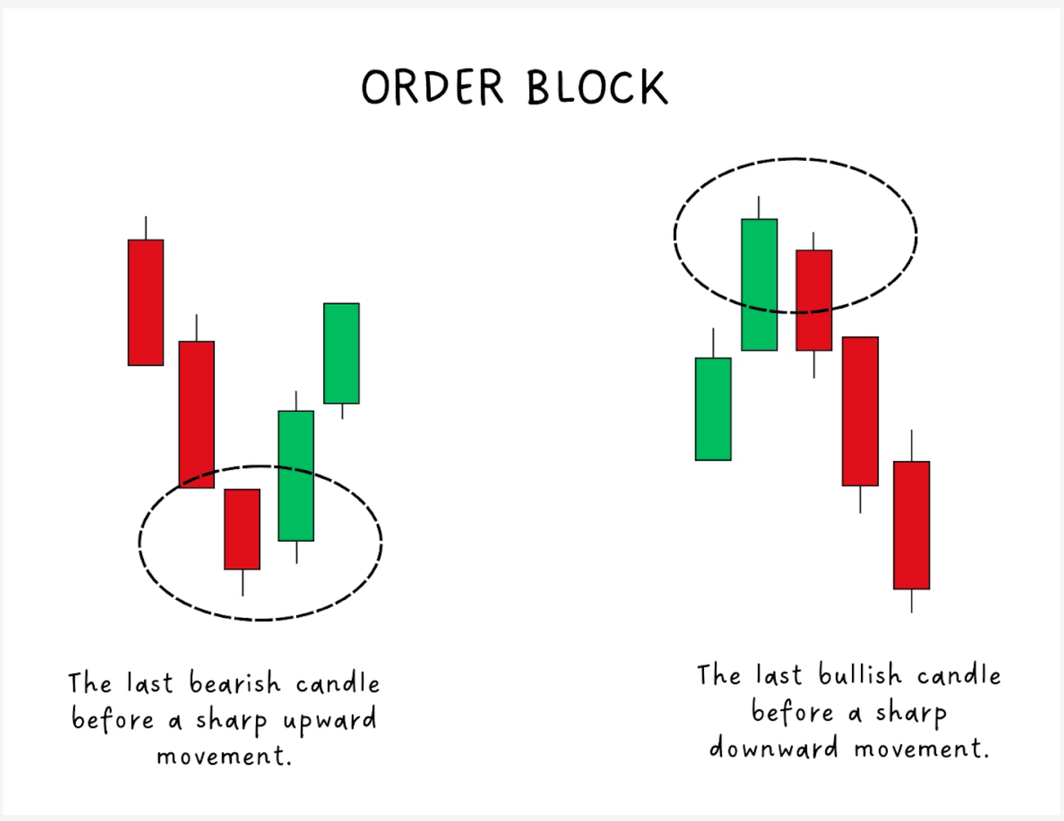
## *Bullish Order Blocks*

**Bullish OB** = The last bearish candle(s) before a strong move up

**Visual Characteristics**

On your chart, bullish OBs appear as:
- Blue boxes (default color)
- Extending to the right until broken
- "+OB" label or line marking the level
- Located below current price (when unmitigated)

The Smart Liquidity Indicator marks these with blue boxes extending to the right, labeled "+OB".




## *What Makes a Valid Bullish OB*

Not every bearish candle before an up move is an OB. The indicator uses specific criteria:

1. **Swing Low Formation:** Must form at or near a swing low
2. **Strong Reversal:** The move up after must be impulsive (displacement)
3. **Structural Significance:** Should align with liquidity sweep or structure
4. **Absorption:** The bearish candle(s) get "consumed" by the bullish move

## *How Price Reacts to Bullish OBs*

When price returns to a bullish OB:

**Scenario 1: Bounce (OB Holds)**
- Price enters OB zone
- Finds support
- Bounces upward
- OB is "working" - institutions defending

**Scenario 2: Mitigation (Partial Break)**
- Price enters OB zone
- Moves through 50% of OB
- Then bounces
- Still valid, but weaker

**Scenario 3: Full Break (OB Invalidated)**
- Price moves completely through OB with candle body closes
- OB no longer valid
- May become Breaker Block (opposite polarity)

**Go on your chart and have a look at these 3 scenarios before you trade.**

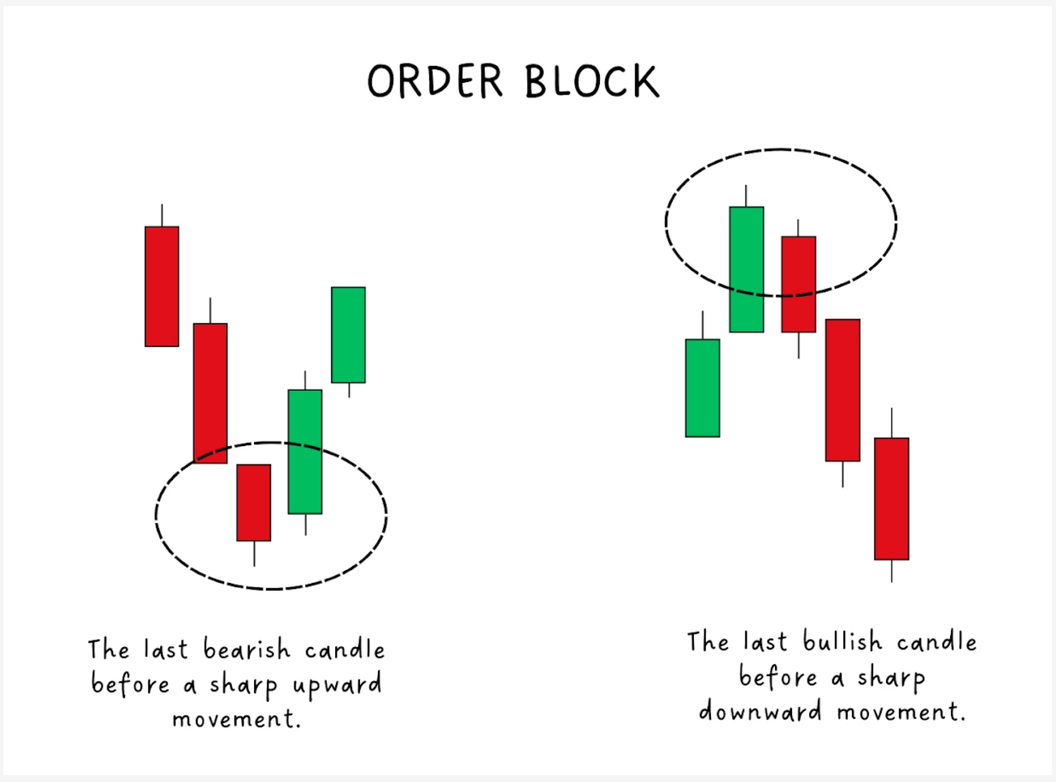
## *Bearish Order Blocks*

**Bearish OB** = The last bullish candle(s) before a strong move down

### Visual Characteristics

On your chart, bearish OBs appear as:
- Red boxes (default color)
- Extending to the right until broken
- "-OB" label or line marking the level
- Located above current price (when unmitigated)

The Smart Liquidity Indicator marks these with red boxes extending to the right, labeled "-OB".




### What Makes a Valid Bearish OB

Same criteria as bullish, but inverted:

1. **Swing High Formation:** Must form at or near a swing high
2. **Strong Reversal:** The move down after must be impulsive
3. **Structural Significance:** Should align with liquidity sweep or structure
4. **Absorption:** The bullish candle(s) get "consumed" by the bearish move

## *How Price Reacts to Bearish OBs*

Same three scenarios as bullish OBs:

**Scenario 1: Rejection (OB Holds)**
- Price rallies into bearish OB
- Finds resistance
- Rejects downward
- OB is working

**Scenario 2: Mitigation (Partial Break)**
- Price moves through 50% of OB
- Then rejects

**Scenario 3: Full Break (OB Invalidated)**
- Price moves completely through
- OB no longer valid
- Potential Breaker Block formation

**Go on your chart and have a look at these 3 scenarios before you trade.**

## Settings Explained

The Smart Liquidity Indicator gives you control over how Order Blocks are detected and displayed.

### Show Last X Order Blocks

This controls how many Order Blocks stay visible on your chart.

**0 = Hide all OBs**

- Use if you don't trade OBs
- Cleaner chart
- Focus on other features

**1 = Show only most recent (RECOMMENDED)**

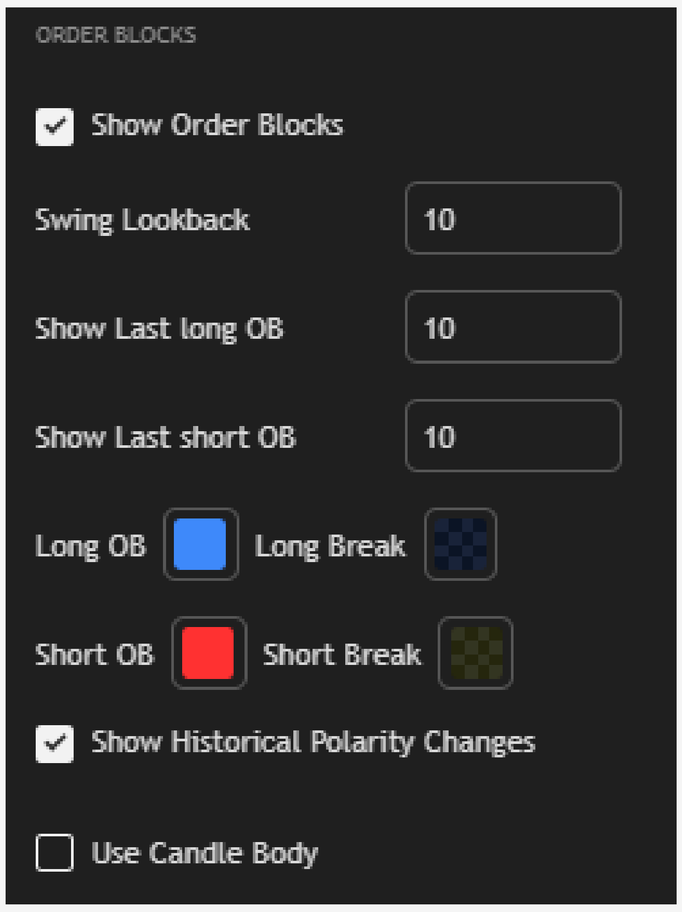
- Cleanest functional setup
- Focus on most relevant OB
- Perfect for beginners and live trading
- This is what I use

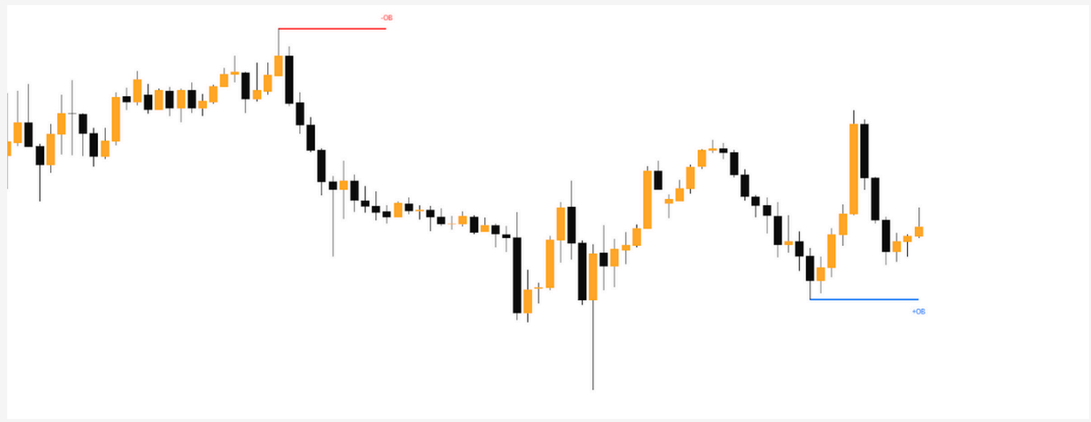
**2-3 = Show multiple OBs**

- Useful for identifying nested OBs
- Shows support/resistance layers
- Good for advanced traders

**5+ = Show many OBs**

- Chart gets crowded
- Only for specific analysis
- Not recommended for live trading



### Use Candle Body Setting

This determines what part of the candle defines the OB zone.

**Use Candle Body = ON (RECOMMENDED)**

- OB marked from candle open to close (body only)
- Ignores wicks
- More precise zone
- Tighter stop losses
- Better risk:reward
- **This is what I use**

**Use Candle Body = OFF**

- OB marked from candle high to low (full range including wicks)
- Wider zone
- Safer but larger stops
- Sometimes better in volatile markets

## *Breaker Blocks (Polarity Changes)*

This is an advanced order block concept that the indicator tracks.

## *What is a Breaker Block?*

**Breaker Block =** An order block that got broken, then becomes support/resistance with OPPOSITE polarity

**Example of Bullish Breaker:**

1. Bearish OB forms (acts as resistance)
2. Price rallies through it (breaks the OB)
3. That broken bearish OB now becomes support
4. It's a "Bullish Breaker Block"

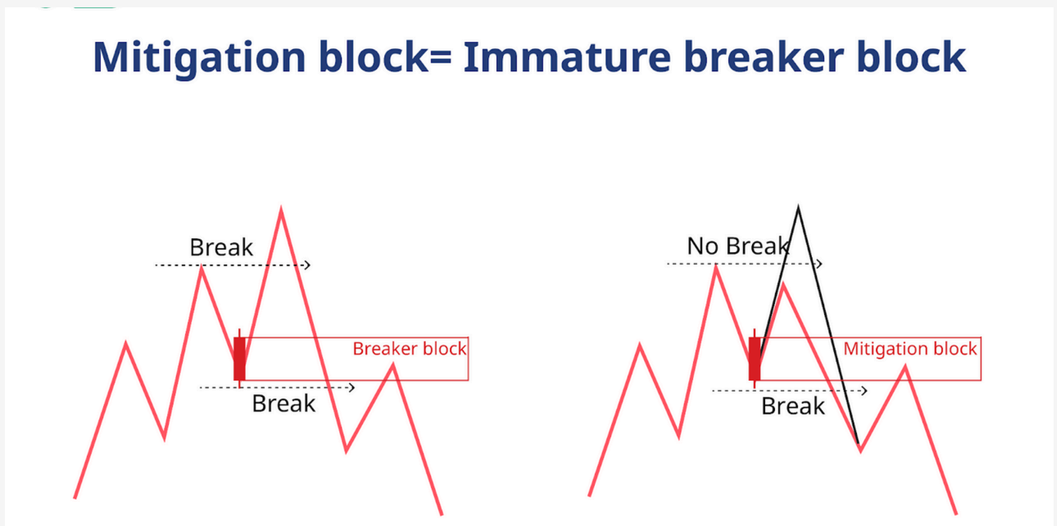
**Example of Bearish Breaker:**

1. Bullish OB forms (acts as support)
2. Price drops through it (breaks the OB)
3. That broken bullish OB now becomes resistance
4. It's a "Bearish Breaker Block"

## *Why Breakers Work*

When an institution's original position fails (OB gets broken):

- They exit at breakeven (at the old OB)
- OR they reverse position
- This creates new support/resistance at the same level
- The "polarity" flipped




## *Trading Order Blocks: My Approach*

**Strategy 1: OB Entry After Structure Break**

**Setup:**

1. Wait for MSS or BOS
2. Price pulls back after structure break
3. Price enters Order Block zone
4. Enter in direction of structure break

**Entry Confirmation:**

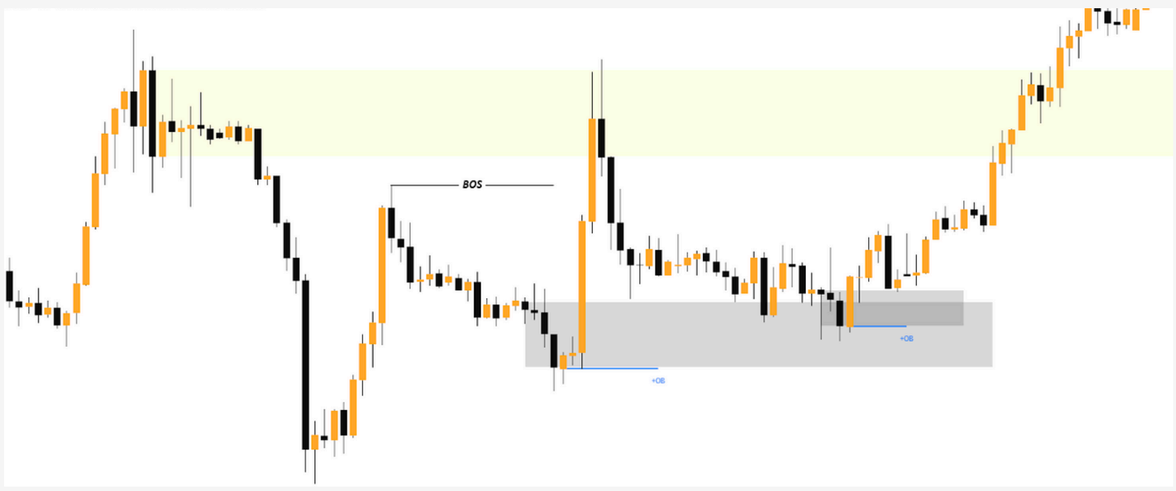
- Price enters OB zone
- Reversal candle forms (engulfing, hammer, etc.)
- Or displacement candle appears
- Volume spike (if you have volume data)

**Stop Loss:**

- Below bullish OB (for longs)
- Above bearish OB (for shorts)
- Typically 10-20 pips beyond OB boundary

**Target:**

- Next structure high/low
- Liquidity pool
- 1:3 risk:reward minimum



## Strategy 2: OB + FVG Confluence

When OB and FVG overlap, probability increases significantly.

**Setup:**

1. Identify Order Block
2. FVG forms at same level (or nearby)
3. Wait for price to return
4. Enter when both zones align

**Why this works:**

- OB = where institutions entered
- FVG = price imbalance needing fill
- Both at same level = double confluence
- Institutions AND mathematics point to same zone

**Entry:**

- When price enters overlapping zone
- Preferably at 50% of FVG within OB

## Strategy 3: Multi-Timeframe OB

Use higher timeframe OBs for zones, lower timeframe OBs for precise entries.

**Process:**

1. Mark Daily or 4H Order Block
2. Wait for price to enter that zone
3. Drop to 1H or 15M chart
4. Look for Order Block forming WITHIN the higher TF OB
5. Enter at lower TF OB

**Advantage:**

- Higher TF OB = strong support/resistance
- Lower TF OB = precise entry
- Tight stop loss
- Excellent risk:reward

**Multi-Timeframe OBs**

This is advanced but extremely powerful.

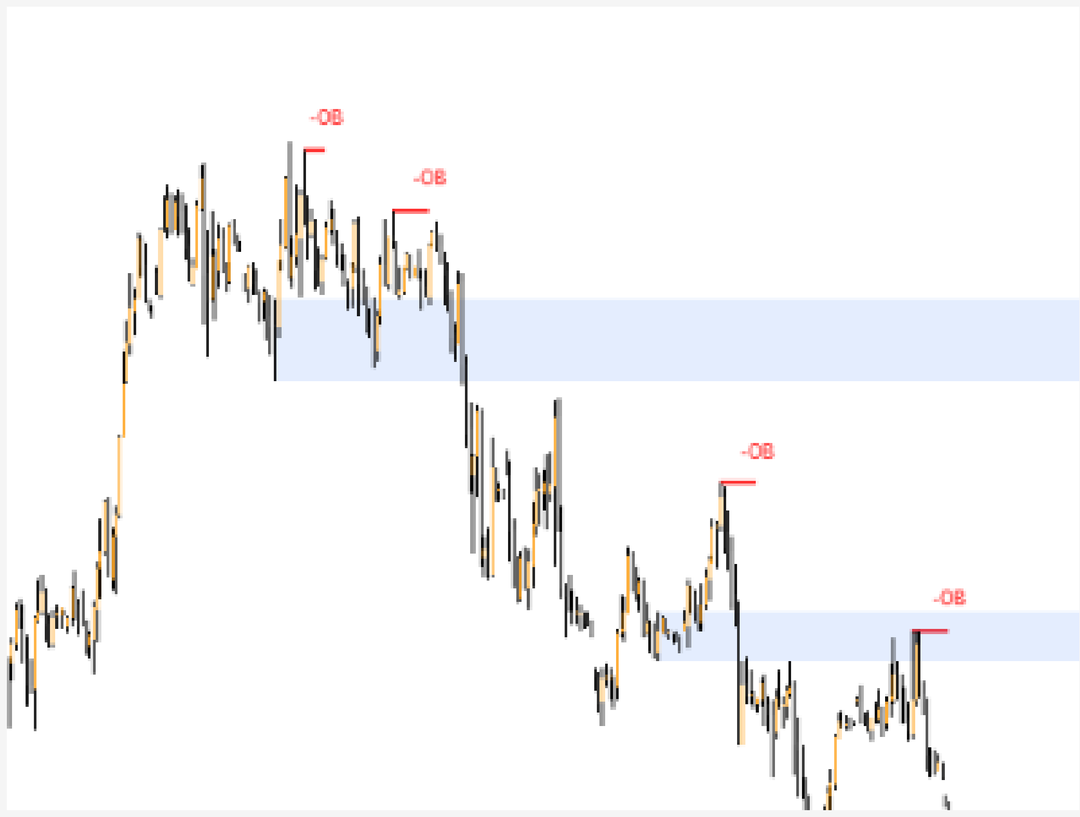
**Process:**

1. Mark Daily or 4H Order Block
2. Wait for price to enter that zone
3. Drop to 1H or 15M chart
4. Look for Order Block forming WITHIN the higher timeframe OB
5. Enter at the lower timeframe OB

**Advantage:**

- Higher TF OB = strong support/resistance zone
- Lower TF OB = precise entry point
- Tight stop loss
- Excellent risk:reward

The Smart Liquidity Indicator makes all of this visual and automatic. You see the Order Blocks, the breaks, the Breakers-all color-coded on your chart. No manual marking required. Just wait for price to reach your zones and execute.



# FAIR VALUE GAPS (FVG)



## *Understanding Price Inefficiency*

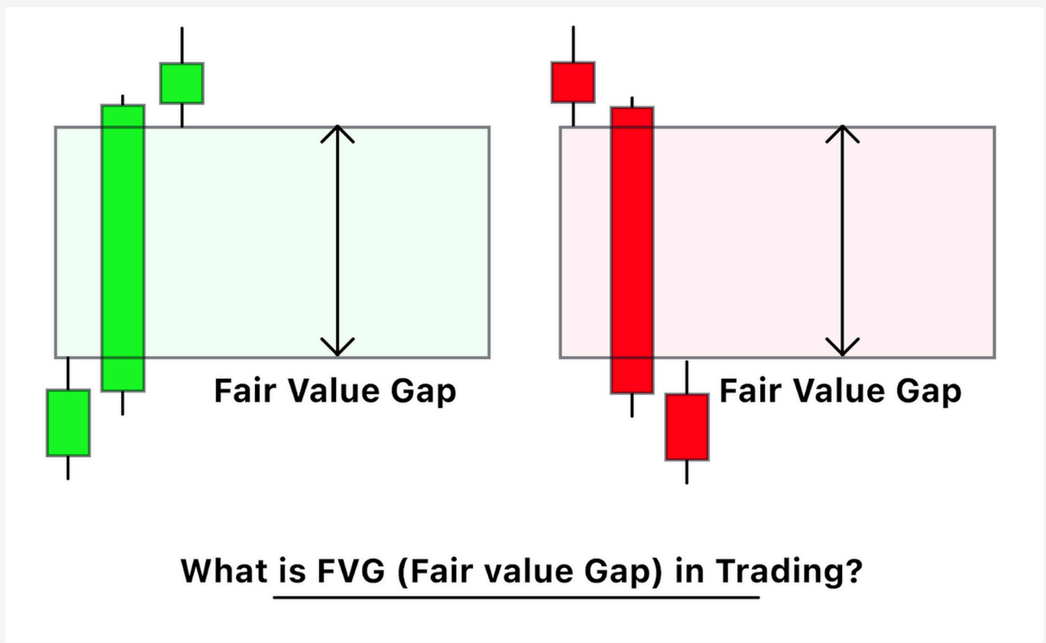
Fair Value Gaps represent one of the most powerful concepts in smart money trading. They show you where price moved too fast, creating imbalances that the market will likely revisit.

### *What is a Fair Value Gap?*

**FVG =** A 3-candle pattern where the middle candle creates a gap between candle 1 and candle 3

**Think of it like this:**

- Institutions place a massive order
- Price jumps rapidly to fill it
- Some price levels get skipped
- Traders who wanted to buy/sell at those levels didn't get filled
- Their unfilled orders create a "vacuum" pulling price back

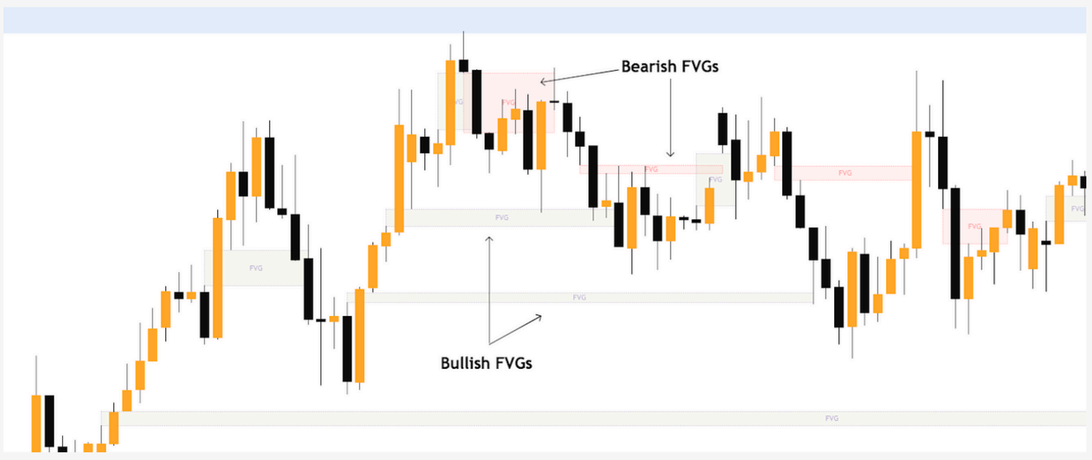



### *Bullish FVG Formation*

**Requirements:**
1. Candle 1: Any candle (can be bullish or bearish)
2. Candle 2: Strong bullish candle with large body
3. Candle 3: Continues upward
4. Gap exists: Candle 3's low is above Candle 1's high

**The Gap Zone:**
- Top: Candle 3 low
- Bottom: Candle 1 high
- This is the "unfilled" zone

**Visual Output:**
- Green/cyan box filling the gap
- Box extends to the right
- Text label "FVG" or "IFVG"
- Border becomes dashed when partially filled

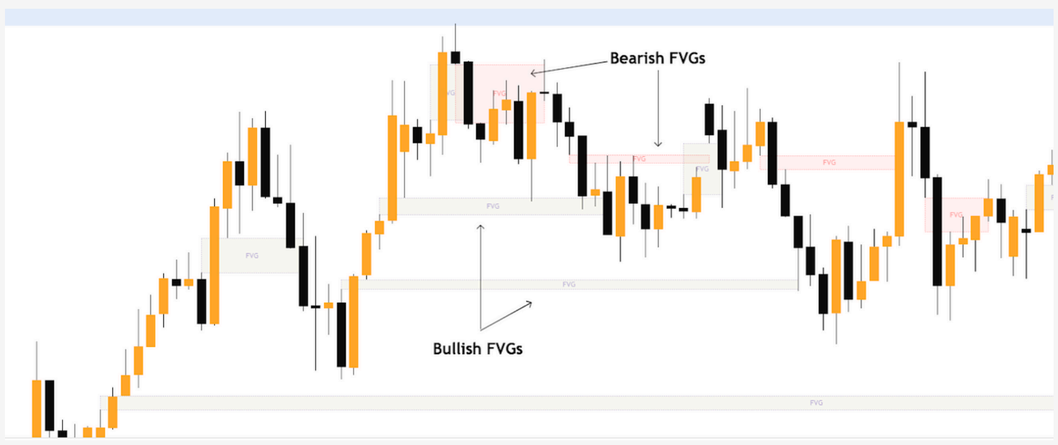


### *Bearish FVG Formation*

**Requirements:**
1. Candle 1: Any candle (can be bullish or bearish)
2. Candle 2: Strong bearish candle with large body
3. Candle 3: Continues downward
4. Gap exists: Candle 3's high is below Candle 1's low

**The Gap Zone:**
- Top: Candle 1 low
- Bottom: Candle 3 high
- This is the "unfilled" zone

**Visual Output:**
- Red/orange box filling the gap
- Box extends to the right
- Text label "FVG" or "IFVG"
- Border becomes dashed when partially filled

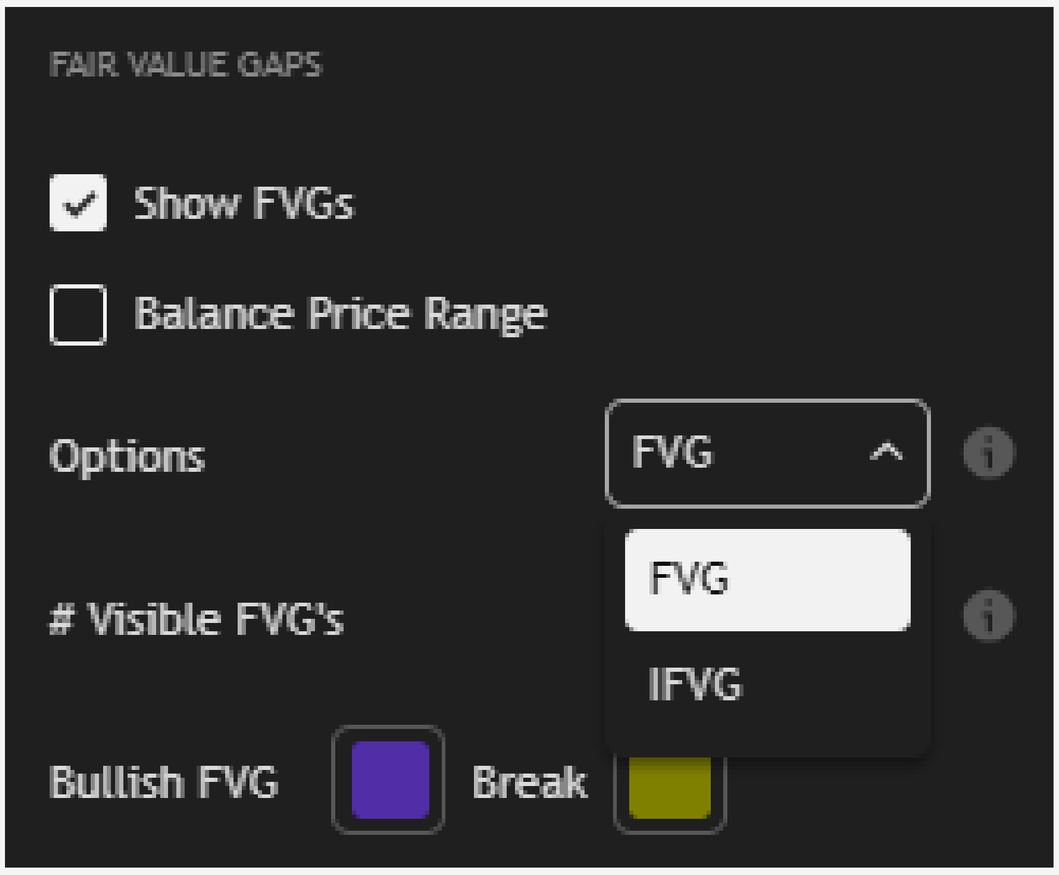



**FVG vs IFVG - The Difference**
The indicator offers two types of FVG detection:

**Standard FVG (Recommended):**
- True gap where NO trading occurred
- Candle 3 doesn't overlap Candle 1 at all
- More rare but higher quality
- Stronger probability of rebalance

**Inverse FVG (IFVG):**
- Imbalance even if slight overlap exists
- More FVGs detected
- Some lower quality signals
- Still valid institutional footprints

**My recommendation:** Use standard FVG. It's cleaner and higher probability. I only use IFVG when scalping lower timeframes and I want more opportunities.



### *Balance Price Range (BPR)*

This is an advanced feature that detects overlapping FVGs.

**What is BPR?**

**Balance Price Range = The overlap zone between a bullish FVG and bearish FVG**

**How it forms:**

1. Bullish FVG created (gap upward)
2. Later, bearish FVG created (gap downward)
3. The two gaps overlap in price
4. That overlap = Balance Price Range

**Why it matters:**

- Shows price is balancing between two imbalances
- Acts as equilibrium zone
- Often becomes support/resistance
- High probability reaction zone




## FVG Mitigation (Rebalancing)

When price returns to fill an FVG, it's called "mitigation" or "rebalancing."

### Three Types of FVG Fills

**1. Wick Fill (Partial)**

- Price wicks into FVG
- Doesn't reach 50% of gap
- Often quick rejection
- FVG remains valid

**2. 50% Fill (Sweet Spot)**

- Price reaches midpoint of FVG
- Most common reaction zone
- High probability reversal point
- Ideal entry location

3. **Full Fill (Complete)**

- Price moves completely through FVG with candle bodies
- Gap fully closed
- FVG no longer valid
- Becomes less reliable

**Bar Coloring Feature**
This is a unique feature I added to make FVG recognition instant.

**How It Works**
The indicator colors the candle BEFORE the FVG forms:

- Green candle = Bullish FVG just formed
- Red candle = Bearish FVG just formed

**Why this is useful:**

- Instant visual recognition
- Don't need to wait for FVG box to appear
- Helps you spot momentum in real-time
- Great for scalping

**Enable/Disable Bar Coloring**

**Enable FVG Coloring = ON:**

- Candles get colored
- Instant visual alerts
- Some traders find it distracting

**Enable FVG Coloring = OFF:**

- Normal candle colors
- Cleaner look
- Only FVG boxes show

This is personal preference. I keep it ON because I like the instant feedback, but I know traders who prefer it off.

## *Advanced FVG Concepts*

**Nested FVGs**

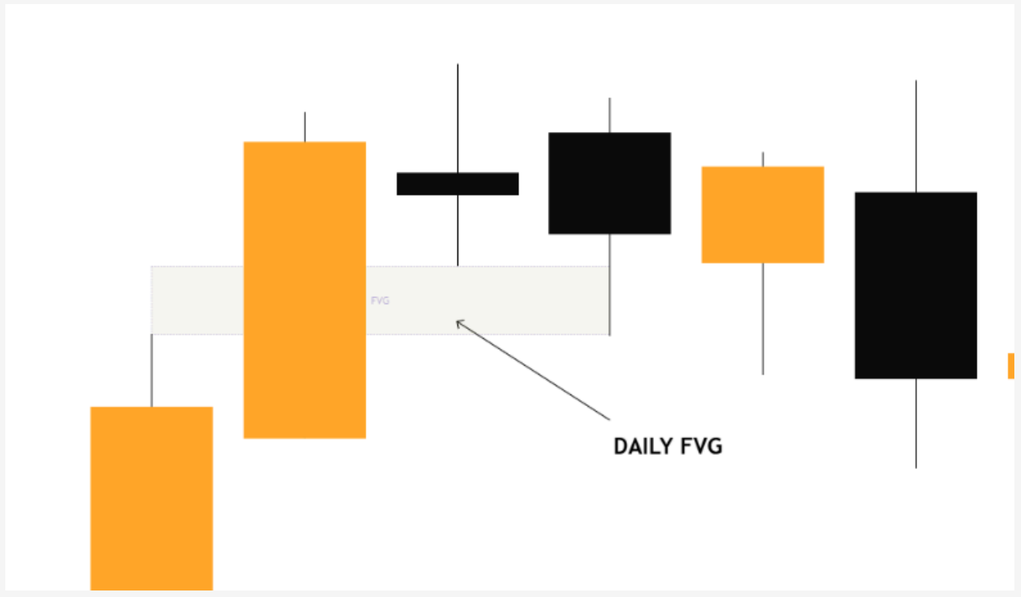
Sometimes FVGs form within other FVGs (fractal nature).

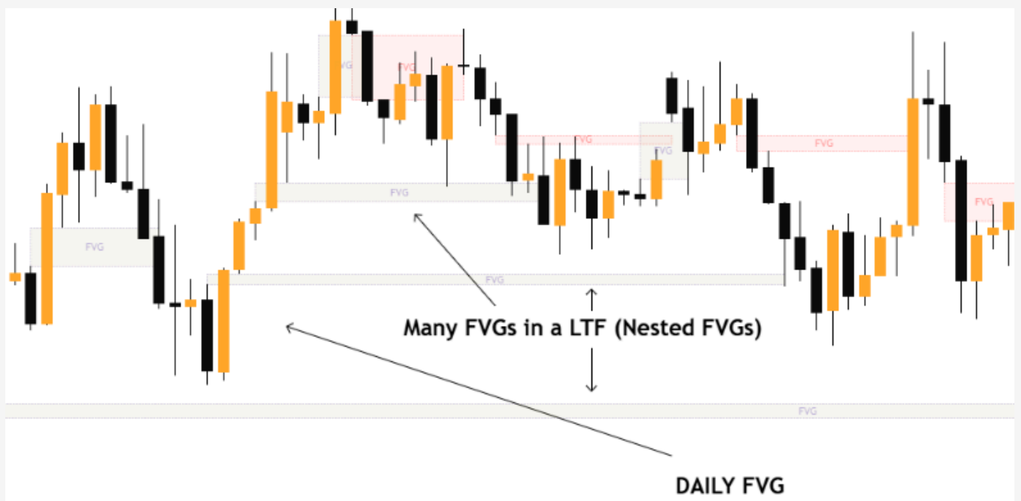
**What it looks like:**

- Large FVG on 4H chart
- Multiple smaller FVGs on 1H chart within the 4H FVG
- Even more micro FVGs on 15M chart

**How to trade it:**

- Use higher TF FVG as zone of interest
- Drop to lower TF when price enters zone
- Trade the lower TF FVGs for precise entry
- Stops below lower TF FVG (tight)
- Target based on higher TF structure



## *FVG + Order Block Confluence*

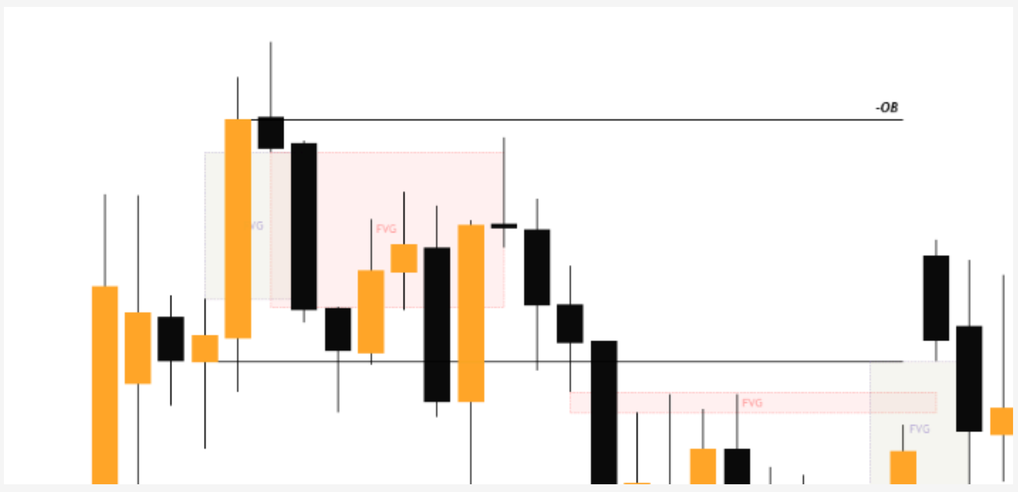
The highest probability setups combine FVG with Order Block.

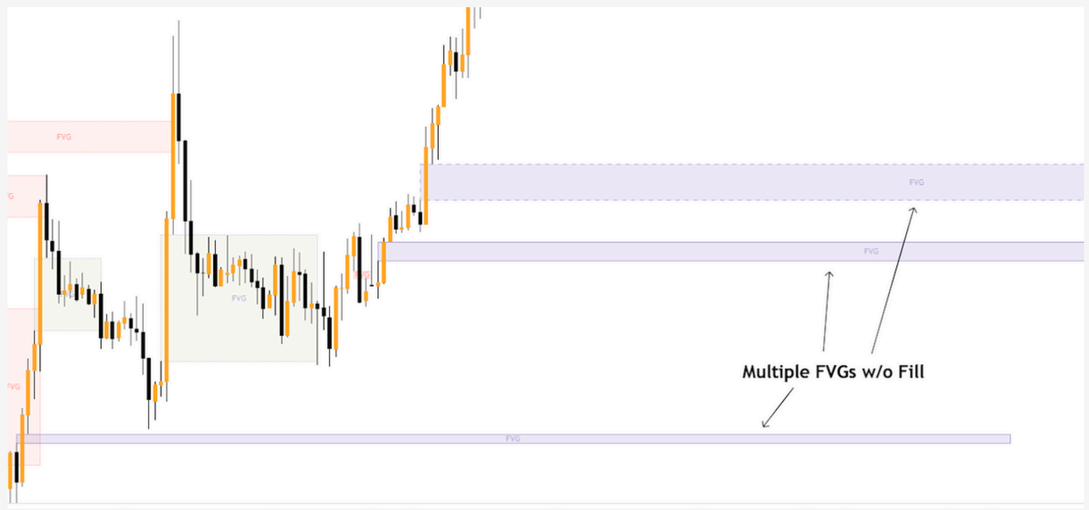
**Why this matters:**

- FVG = mathematical imbalance
- OB = institutional order location
- Both at same level = double confirmation

**How it forms:**

1. Order block created at swing
2. Strong move away creates FVG
3. FVG overlaps with OB zone




The Smart Liquidity Indicator makes FVG trading effortless. You see the gaps, the rebalance levels, the overlaps with OBs-all automatically calculated and displayed. No manual work. Just wait for price to reach your zones and execute.

## Consecutive FVGs (Expansion)

When multiple FVGs form in same direction without fills.

**What it signals:**

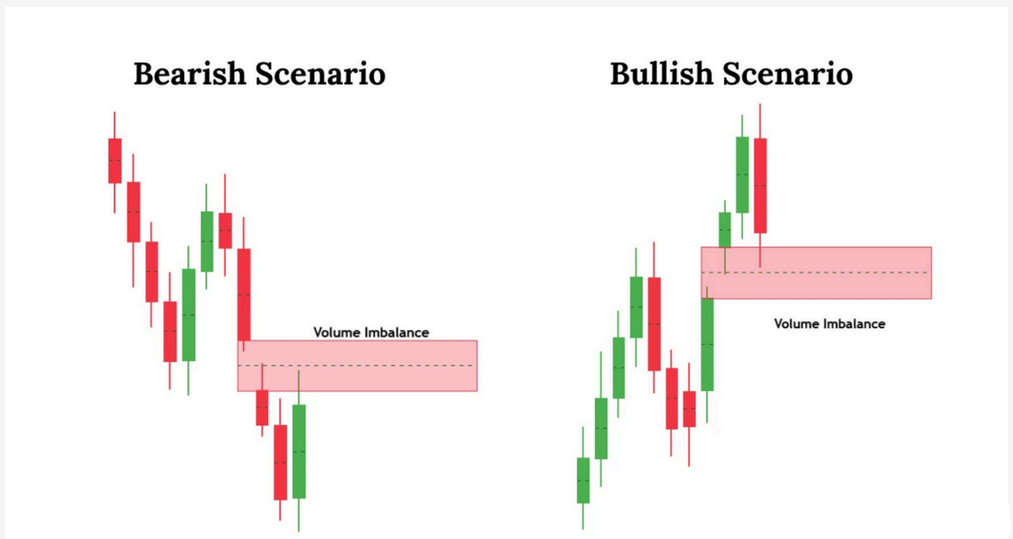
- Strong trending move
- Minimal retracement
- High institutional interest
- Price expanding from equilibrium

**Trading approach:**

- Don't fade it (don't counter-trend trade)
- Trade with the direction
- Each FVG becomes new support/resistance
- Wait for structure break to reverse

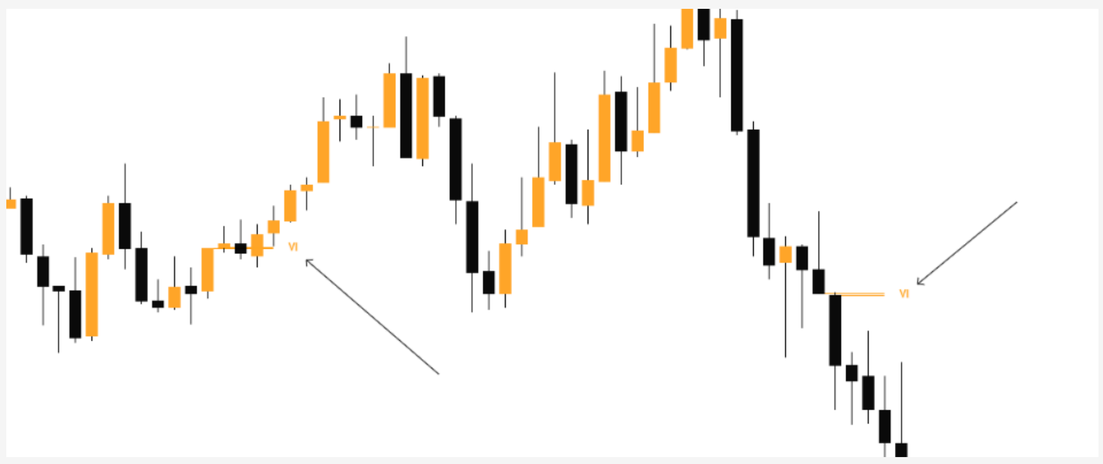


# VOLUME IMBALANCE




## *What is Volume Imbalance*

Volume Imbalance (VI) is a specific candle pattern that reveals hidden institutional activity. Unlike FVGs which show price imbalance, VIs show **volume absorption** at specific levels.



**The VI Pattern**

**Volume Imbalance occurs when:**

1. Two candles show overlapping price ranges
2. BUT their open/close relationship reveals absorption
3. One side (buying or selling) was absorbed without price reflection

Think of it like this:

- Seller dumps 1000 contracts
- Price drops slightly
- Buyer absorbs all 1000 contracts
- Price barely moves back up
- **That absorption zone = Volume Imbalance**

## *Bullish Volume Imbalance*

**Formation Pattern**

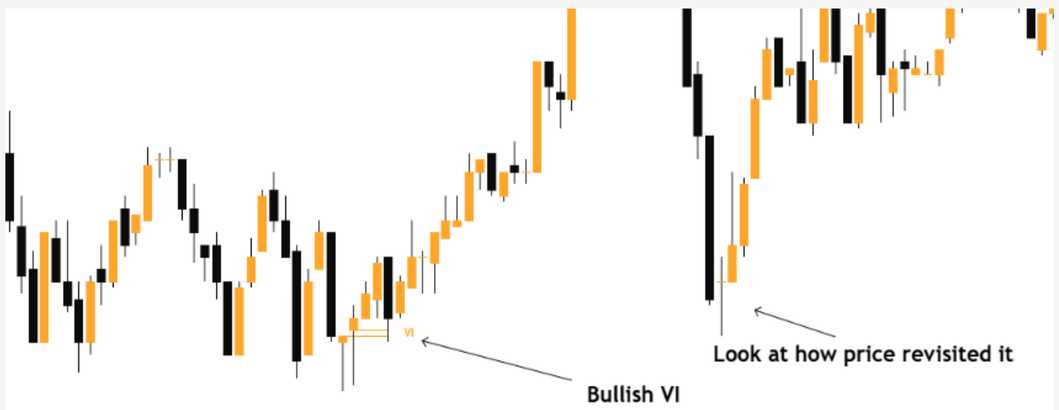
**Requirements:**
1. Previous candle (often bearish or small bullish)
2. Current candle opens higher
3. Price ranges overlap
4. Current candle closes above previous
5. Previous high is below current minimum body

**What it means:**
- Selling pressure was absorbed
- Buyers stepped in without price dropping first
- Institutional buy orders sitting in that zone
- Zone acts as support

**How Price Reacts**

**Scenario 1: VI Holds (Support)**
- Price returns to VI zone
- Finds support at VI
- Bounces upward
- VI confirmed as valid

**Scenario 2: VI Breaks**
- Price moves through VI with body closes
- VI invalidated
- May signal trend weakness




## *Bearish Volume Imbalance*

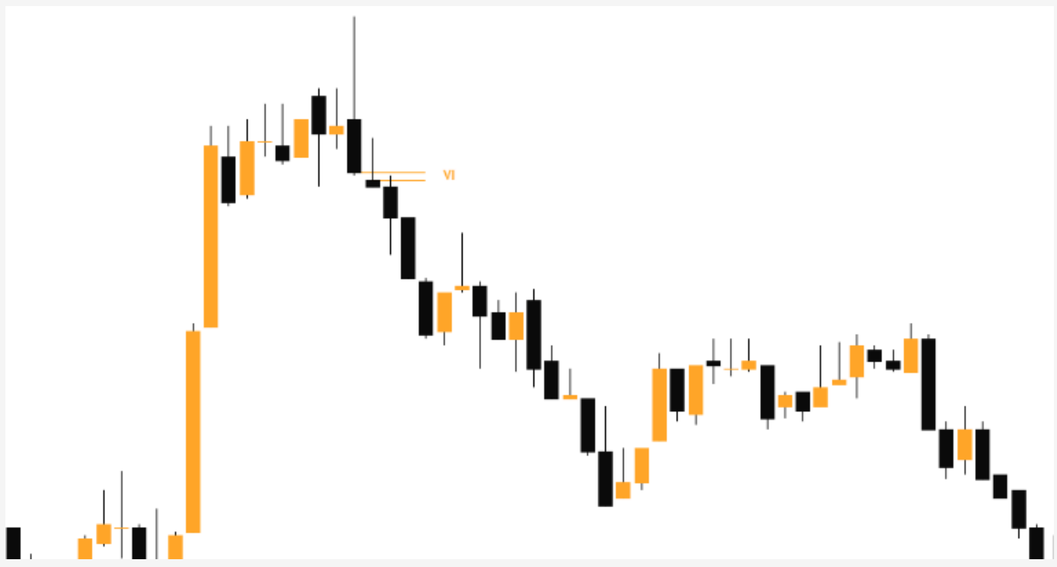
**Formation Pattern**

**Requirements**:
1. Previous candle (often bullish or small bearish)
2. Current candle opens lower
3. Price ranges overlap
4. Current candle closes below previous
5. Previous low is above current maximum body

**How Price Reacts**

**Scenario 1: VI Holds (Resistance)**
- Price returns to VI zone
- Finds resistance at VI
- Rejects downward
- VI confirmed as valid

**Scenario 2: VI Breaks**
- Price moves through VI with body closes
- VI invalidated
- May signal trend strength (in uptrend)



**How It's Detected**
The Smart Liquidity Indicator uses a precise algorithm to identify these patterns. Unlike FVGs which look for gaps, VIs look for overlaps with specific directional characteristics.

**Detection Criteria**
For a valid Volume Imbalance:

1. **Two candles must overlap in price range**
2. **Open/close relationship must show absorption**
3. **Net directional gain despite overlap**

This is more subtle than FVG detection, which is why most traders miss VIs entirely. The indicator catches them automatically.

**Visual Output**
On your chart, you'll see:

- Two horizontal lines marking top and bottom of VI zone
- "VI" label at the midpoint
- Lines extend a few bars forward
- Default color: Cyan (customizable)

The zone between the two lines is where the volume absorption occurred.




***VI vs FVG: Understanding The Difference***

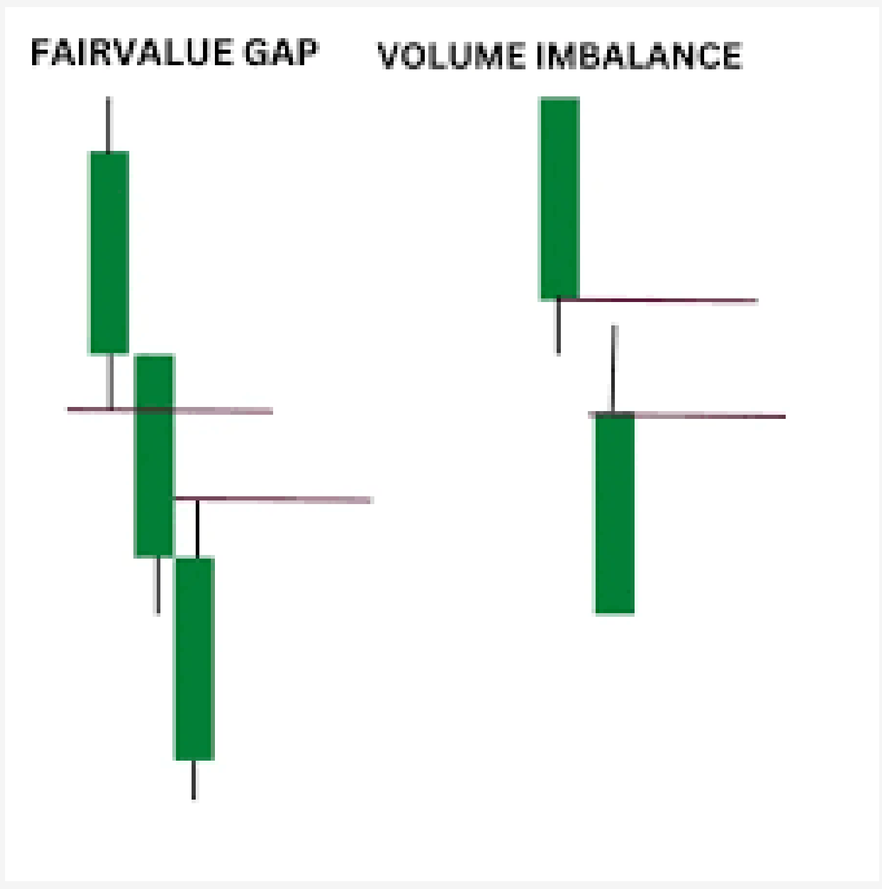
Both show imbalances, but different types:

**Fair Value Gap (FVG)**

- **Price imbalance**
- Candles don't overlap
- Institutional move was so fast price skipped levels
- More common
- Focuses on gap between candles

**Volume Imbalance (VI)**

- **Volume absorption imbalance**
- Candles DO overlap
- Institutional orders absorbed without price change
- Less common
- Focuses on overlap between candles



### *Which is Better?*

Neither. They're different tools.

**Use FVG when:**

- Looking for rebalancing opportunities
- Trading momentum moves
- Want more frequent setups

**Use VI when:**

- Looking for institutional footprints
- Want higher quality (fewer) setups
- Trading mean reversion

**Best approach:** Use BOTH. When FVG and VI align at same level = extremely high probability setup.



# DISPLACEMENT




## *Understanding Displacement*

Displacement is the visual representation of institutional presence in the market. When large orders hit the market, they create specific candle characteristics that this indicator automatically detects.

### *What is Displacement?*

**Displacement =** A candle with an unusually large body relative to recent average, showing institutional order flow

**Key characteristics:**

1. **Large body:** Much bigger than recent candles
2. **Small wicks:** Body takes up most of candle range
3. **Strong direction:** Clear buying or selling pressure
4. **Rapid price change:** Moves through levels quickly

**Why it matters:**

- Shows when institutions are active
- Often starts new trends or legs
- Creates FVGs
- Marks beginning of impulse moves

### *The Displacement Detection Algorithm*

**Detection Logic**

The Smart Liquidity Indicator uses a sophisticated algorithm to detect displacement.

**The 36% Body Rule**

For a candle to qualify as displacement:

- Top wick must be **less than 36% of the body**
- Bottom wick must be **less than 36% of the body**
- This ensures the body dominates the candle

**Why 36%?**

- Allows for some wicks (realistic market behavior)
- But ensures body is clearly dominant
- Filters out indecision candles
- Catches true institutional moves

### *Why 36%?*

This percentage was chosen because:

- Allows for some wicks (realistic)
- But ensures body dominance
- Filters out indecision candles
- Catches true institutional moves

**Examples:**

- 80% body, 10% top wick, 10% bottom wick = ✓ Displacement
- 50% body, 25% top wick, 25% bottom wick = ✗ Not displacement
- 70% body, 20% top wick, 10% bottom wick = ✓ Displacement

## *Bullish Displacement*

**Visual Characteristics**

**On your chart:**

- Green shape below candle (default: label_up style)
- Located at the low of displacement candle
- Only appears when all criteria met

**The Candle:**

- Large green/white body
- Small upper wick (less than 36% of body)
- Small lower wick (less than 36% of body)
- Body larger than recent average



**What It Signals**

**Bullish displacement indicates:**

- Strong institutional buying
- Sellers absorbed completely
- Potential trend start or continuation
- Creates bullish FVG above it

**After bullish displacement:**

- Price typically continues upward
- Or pulls back to displacement candle (entry opportunity)
- Rarely immediately reverses

## *Bearish Displacement*

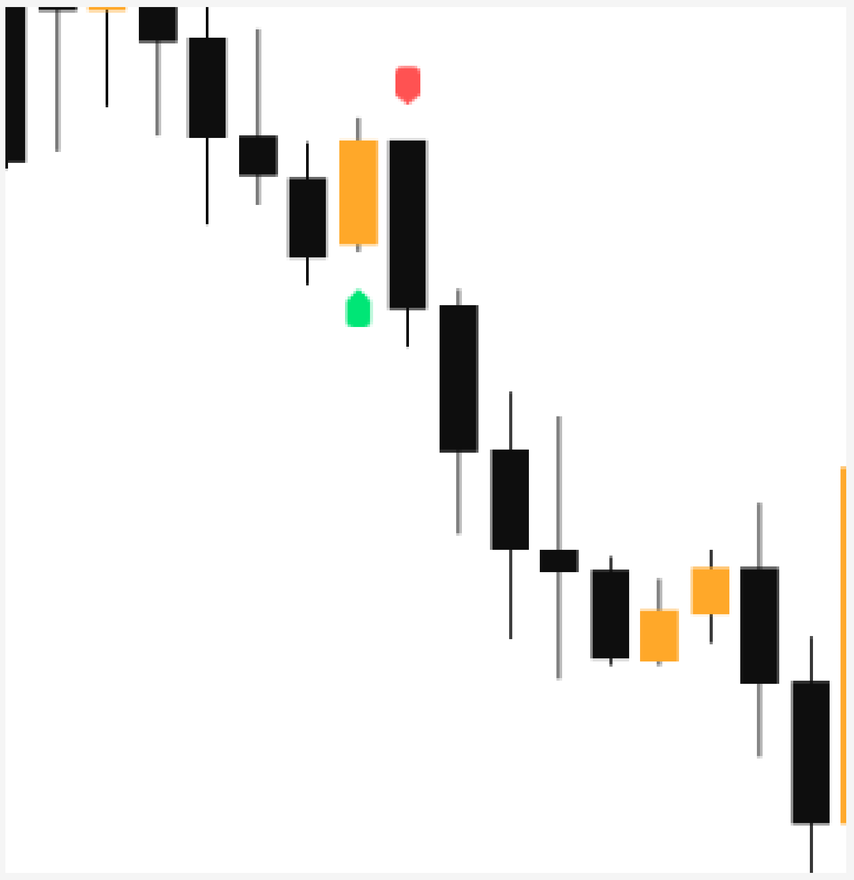
**Visual Characteristics**

**On your chart:**

- Red shape above candle (default: label_down style)
- Located at the high of displacement candle
- Only appears when all criteria met

**The Candle:**

- Large red/black body
- Small upper wick (less than 36% of body)
- Small lower wick (less than 36% of body)
- Body larger than recent average



### *Displacement + FVG Connection*

Every displacement candle creates or is part of an FVG.

**The Relationship**
**Displacement → FVG Formation:**

1. Displacement candle appears (large body)
2. This candle is the "middle candle" in FVG pattern
3. Gap forms between previous candle and next candle
4. FVG box appears

**Why this matters:**

- Displacement marks the START of FVG
- Most reliable FVGs have displacement in middle
- Displacement confirms FVG quality

### *Trading the Combo*

**High-Probability Setup:**

1. Displacement candle breaks structure
2. FVG forms with displacement in middle
3. Price pulls back to FVG
4. Displacement low/high acts as entry trigger

**Entry:** At FVG 50% OR at displacement wick
**Stop:** Beyond FVG
**Target:** Next structure or liquidity

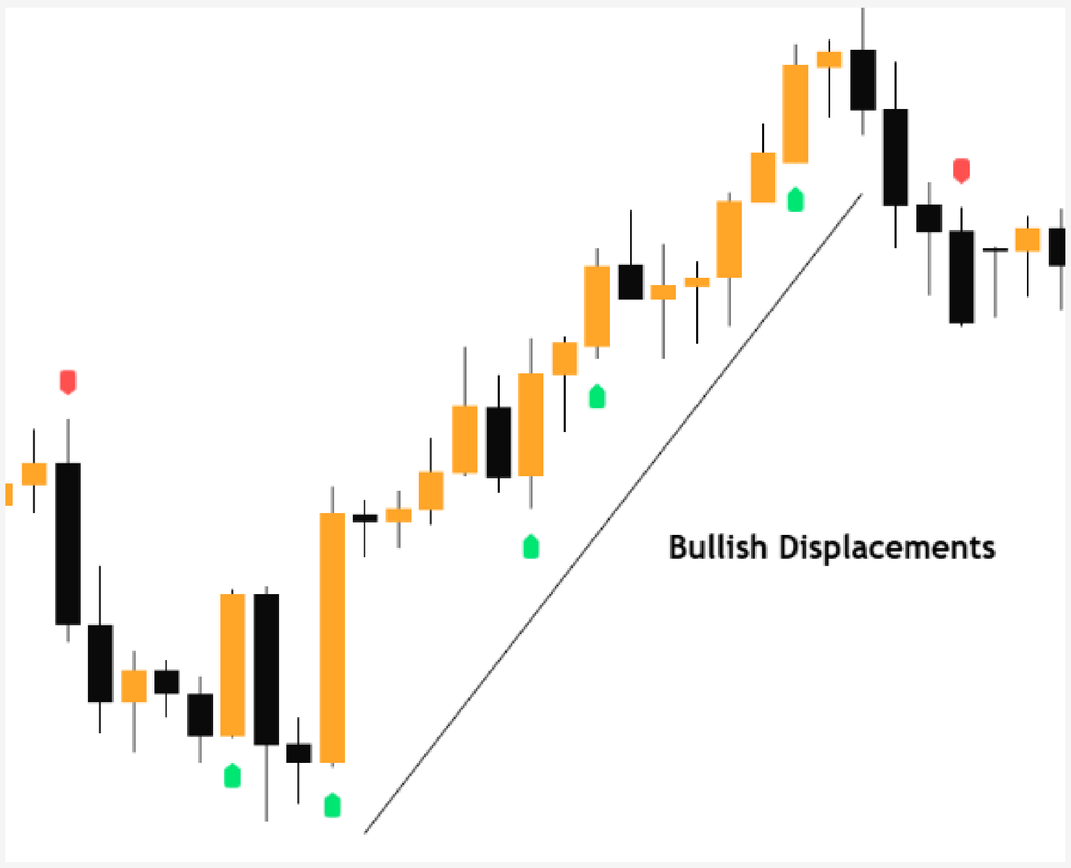
### *Displacement in Different Market Conditions*

**Trending Markets**
**Characteristics:**

- Multiple consecutive displacements in same direction
- Each one marks new leg of trend
- Minimal retracement between displacements

**Trading approach:**

- Trade WITH displacement direction
- Enter on pullbacks to each displacement
- Don't fade the trend



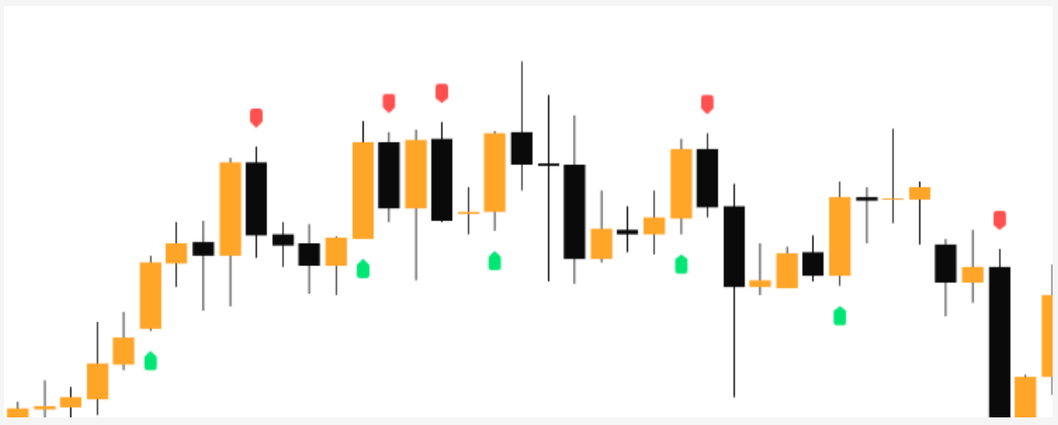
### *Ranging Markets*

**Characteristics:**

- Displacement at range boundaries
- Followed by opposite displacement
- Back and forth action

**Trading approach:**

- Wait for displacement at support/resistance
- Trade the reversal
- Expect move to opposite boundary



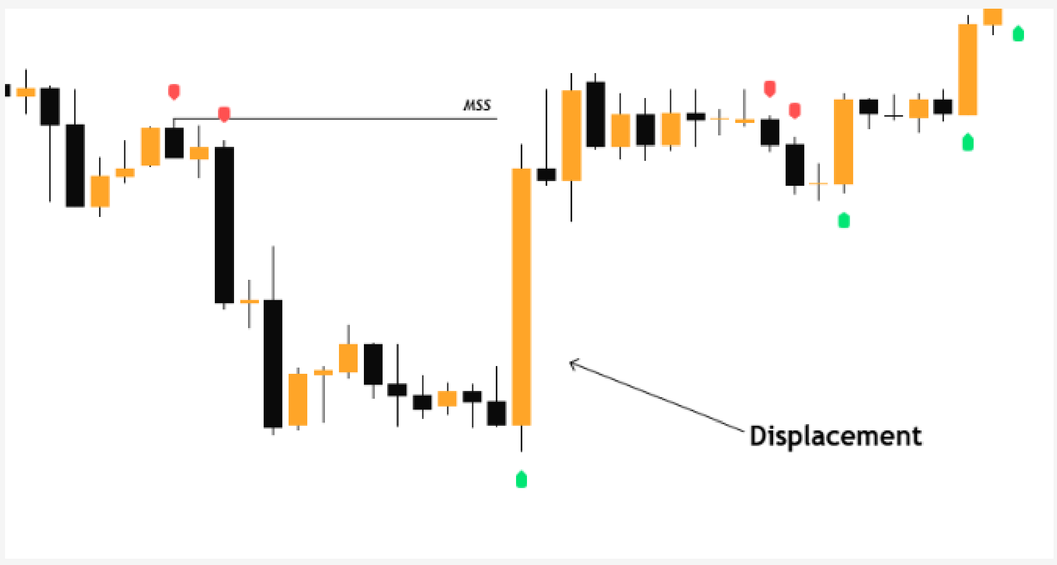
### *Reversal Points*

**Characteristics:**

- Strong displacement breaks previous trend
- Often accompanied by MSS
- Usually liquidity sweep precedes it

**Trading approach:**

- This is THE signal for trend change
- Enter aggressively
- Displacement confirms new direction




### *Displacement Strength Analysis*

Not all displacements are equal. Assess strength:

**Strong Displacement**
**Indicators:**

- Body is 2-3x average body size
- Wicks less than 20% of body
- Breaks structure
- Volume spike (if available)
- Creates large FVG

**Action:** High confidence entry

**Weak Displacement**
**Indicators:**

- Body only slightly larger than average
- Wicks are 30-35% of body
- Doesn't break structure
- Small or no FVG

**Action**: Requires more confirmation



# NWOG/NDOG

## *Understanding Session Gaps*

Session gaps are price discrepancies between closing and opening prices across specific time periods. The Smart Liquidity tracks two types: New Week Opening Gap (NWOG) and New Day Opening Gap (NDOG).

## *Why Session Gaps Matter*

**The concept:**

- Price closes at one level (Friday close, previous day close)
- Price opens at different level (Monday open, current day open)
- The gap between them = unfilled orders
- Market tends to return to fill these gaps

**Institutional behavior:**

- Weekend = no trading = sentiment change
- Market opens with different conditions
- Gaps reveal imbalance
- Often get filled during the session/week

## *New Week Opening Gap (NWOG)*

**What is NWOG?**

**NWOG =** The price range between Friday's close and Monday's open

**Formation:**

1. Market closes Friday at price X
2. Weekend passes (48+ hours, no trading)
3. Market opens Monday at price Y
4. Zone between X and Y = NWOG

**Why it forms:**

- News over weekend
- Sentiment changes
- Global events
- Position adjustments





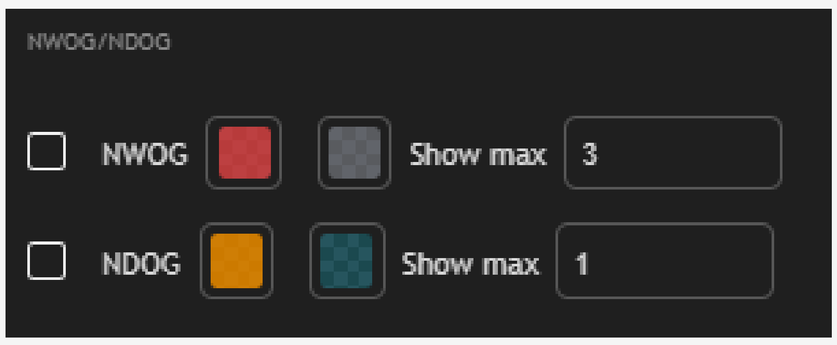
## *Trading NWOG*

**Strategy: Gap Fill Mean Reversion**

**Setup:**

1. NWOG forms Monday morning
2. Price moves away from gap during week
3. Wait for price to return to NWOG
4. Enter when price reaches gap zone

### *NWOG Settings*




**Show max = 3 means:**

- Up to 3 NWOGs visible on chart
- Oldest automatically removed when 4th forms
- Keeps chart clean

**Why limit them:**

- NWOGs are weekly
- Too many = cluttered chart
- Recent gaps more relevant
- Older gaps often already filled

**Entry Scenarios:**

**Scenario 1: Price Above NWOG**

- Gap is below current price
- Wait for pullback into gap
- Enter long at gap midline (50%)
- Stop below gap bottom
- Target: Return to highs or structure level

**Scenario 2: Price Below NWOG**

- Gap is above current price
- Wait for rally into gap
- Enter short at gap midline (50%)
- Stop above gap top
- Target: Return to lows or structure level

## *New Day Opening Gap (NDOG)*

**What is NDOG?**

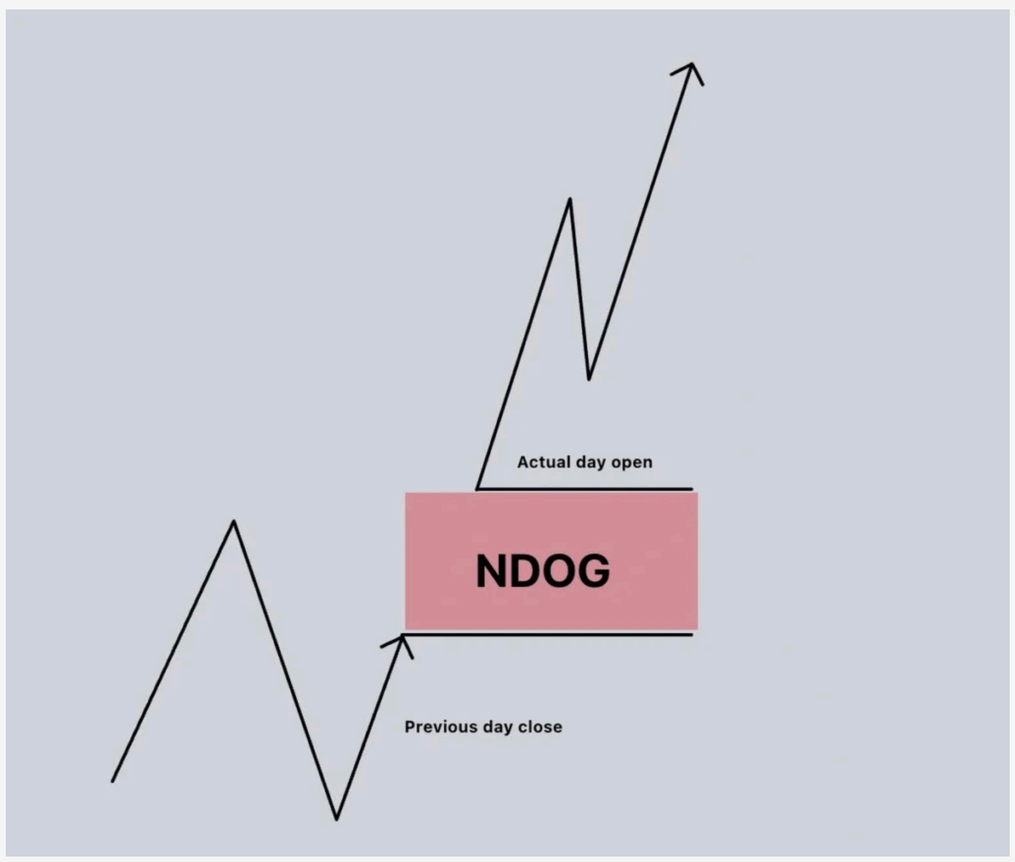
**NDOG =** The price range between previous day's close and current day's open

**Formation:**

1. Market closes previous day at price X
2. Overnight session (or gap in crypto)
3. Market opens current day at price Y
4. Zone between X and Y = NDOG

**Why it forms:**

- Overnight news
- Asia/Europe session moves (for US markets)
- Futures session activity
- Position adjustments

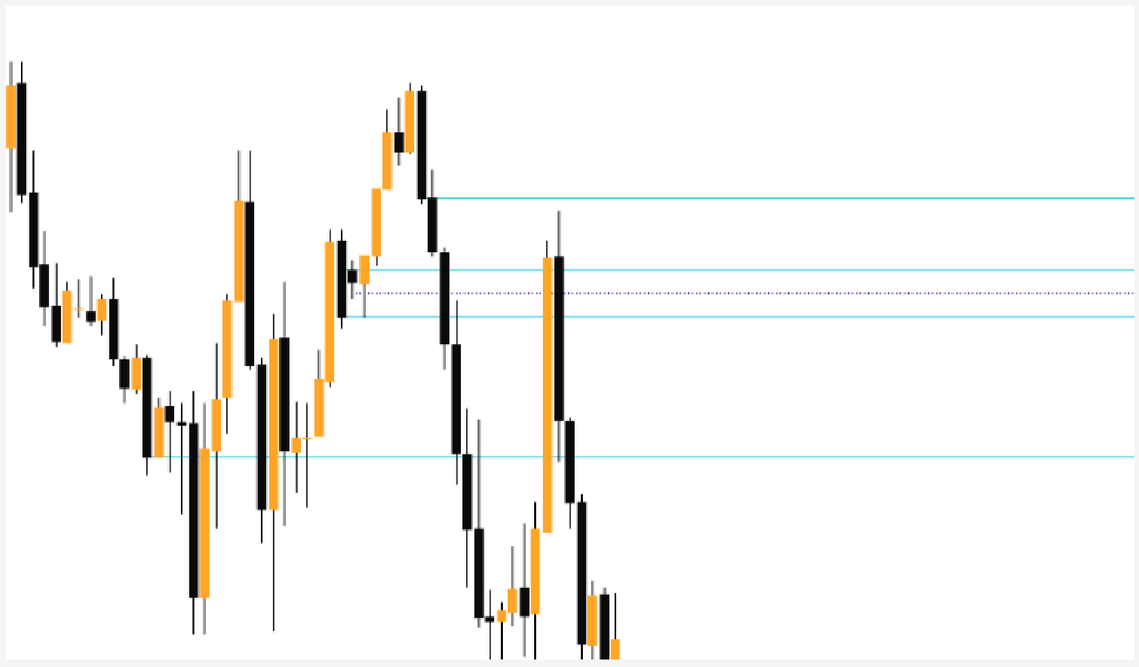



**Logic similar to NWOG:**

1. Records previous day close
2. Records current day open
3. Draws box between them
4. Draws midline
5. Extends forward

**Visual Output:**

- Box outline (different color from NWOG)
- Dotted line at midpoint
- Extends to right
- Default: orange/cyan tones



## *Trading NDOG*

**Strategy: Intraday Gap Fill**

**Setup:**

1. NDOG forms at market open
2. Price moves away from gap during morning
3. Wait for price to return to gap
4. Enter when price reaches gap zone

**Timing:**

- NDOGs often fill same day
- Best opportunities: First 2-4 hours after open
- If not filled by midday, less likely to fill

**Entry:**

- At gap midline (50%)
- Or at gap boundary (more conservative)
- Direction = back toward gap from current price

## *NDOG for Intraday Traders*

**Why intraday traders love NDOG:**

- Daily occurrence (vs weekly for NWOG)
- More trading opportunities
- Often fills within session
- Clear entry/exit levels

**Best Use Cases:**

**1. Morning Reversal:**

- Price gaps up/down at open
- Traders enter in gap direction
- Price reverses to fill gap
- Entry = gap zone

**2. Midday Retracement:**

- Strong morning trend
- Price pulls back to NDOG
- Finds support/resistance
- Entry = gap test

**3. Session Close Target:**

- Price approaching NDOG
- Enter for gap fill
- Exit at gap completion
- Intraday scalp

## *NWOG vs NDOG: Which to Use?*

**NWOG (New Week Opening Gap)**

**Best for:**

- Swing traders
- Weekly analysis
- Higher timeframe trades (4H, Daily)
- Position trades

**Characteristics:**

- Less frequent (once per week)
- Larger gaps typically
- Higher probability of fill over multiple days
- Can take days to fill

**NDOG (New Day Opening Gap)**

**Best for:**

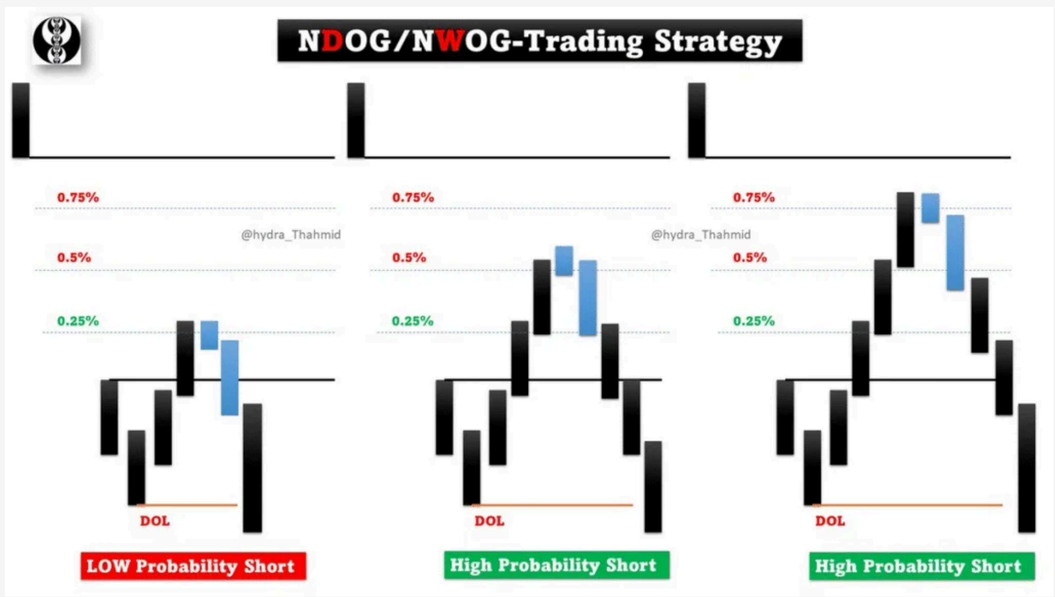
- Day traders
- Intraday scalpers
- Lower timeframe trades (5M, 15M, 1H)
- Same-day positions

**Characteristics:**

- Daily occurrence
- Smaller gaps typically
- Often fills same day
- Quick setups

**Recommendation:**

- Swing traders: Use NWOG only (set NDOG = OFF)
- Intraday traders: Use NDOG only (set NWOG = OFF)
- Multi-timeframe traders: Use both selectively





# KILLZONES

### *Understanding Killzones*

Killzones are specific time periods during the trading day when institutional activity and liquidity are highest. The Smart Liquidity indicator highlights these sessions with colored backgrounds, helping you time your entries during optimal periods.

### *What Are Killzones?*

**Killzone =** High-probability trading window when major institutions are most active

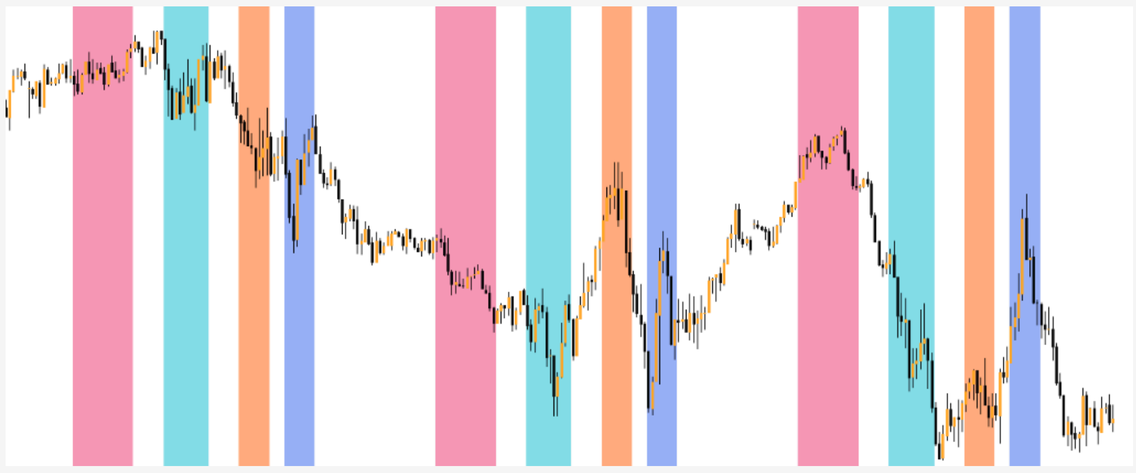
**Why they're called "Killzones":**

- Highest volume periods
- Most liquidity available
- Institutional algorithms most active
- Tightest spreads
- Best execution
- Where most "retail killing" happens (stop hunts, sweeps)

**The concept:** Different trading sessions have different characteristics. Understanding which session you're in helps you anticipate market behavior.



## *The Four Killzones*



### *New York Session (7:00-9:00 EST)*

**Time:** 7:00 AM - 9:00 AM Eastern Time

**Characteristics:**

- Highest volume session globally
- US market open
- Major economic data releases
- Strong directional moves
- Most volatility
- Liquidity sweeps common

**What happens:**

- Overnight positioning gets adjusted
- Stops get hunted
- True daily direction often established
- NDOGs frequently tested/filled

**Best for:**

- Day traders
- Breakout traders
- High-volatility strategies
- Major move captures

**Visual:**

- Orange/red background (default)
- Covers 2-hour window

### *London Open (7:00-10:00 GMT / 2:00-5:00 EST)*

**Time:** 7:00 AM - 10:00 AM London Time (2:00 AM - 5:00 AM EST)

**Characteristics:**

- First major session of the day
- European markets open
- Forex most active
- Initial daily range established
- Often sets up for NY session

**What happens:**

- Asian session highs/lows tested
- NWOGs often approached
- EUR, GBP pairs most active
- Institutional positioning begins

**Best for:**

- Forex traders
- Early risers
- Reversal traders
- Session high/low captures

**Visual:**

- Cyan/blue background (default)
- Covers 3-hour window



### *London Close (15:00-17:00 GMT / 10:00-12:00 EST)*

**Time:** 3:00 PM - 5:00 PM London Time (10:00 AM - 12:00 PM EST)

**Characteristics:**

- European market close
- Overlaps with NY session
- Position squaring
- Retracements common
- Lower volume than opens

**What happens:**

- European traders close positions
- Reversals of morning moves
- Often consolidation
- Setup for afternoon US session

**Best for:**

- Mean reversion traders
- Counter-trend scalpers
- Range traders
- Consolidation strategies

**Visual:**

- Dark blue background (default)
- Covers 2-hour window

### *Asian Session (10:00-14:00 JST / 20:00-00:00 EST)*

**Time:** 10:00 AM - 2:00 PM Tokyo Time (8:00 PM - 12:00 AM EST previous day)

**Characteristics:**

- Lowest volume of the four
- Quietest session
- Tight ranges common
- Asian markets (Nikkei, Hang Seng) active
- Sets up liquidity for London

**What happens:**

- Range formation
- Consolidation
- Liquidity pools build at highs/lows
- Crypto more active (24/7 nature)

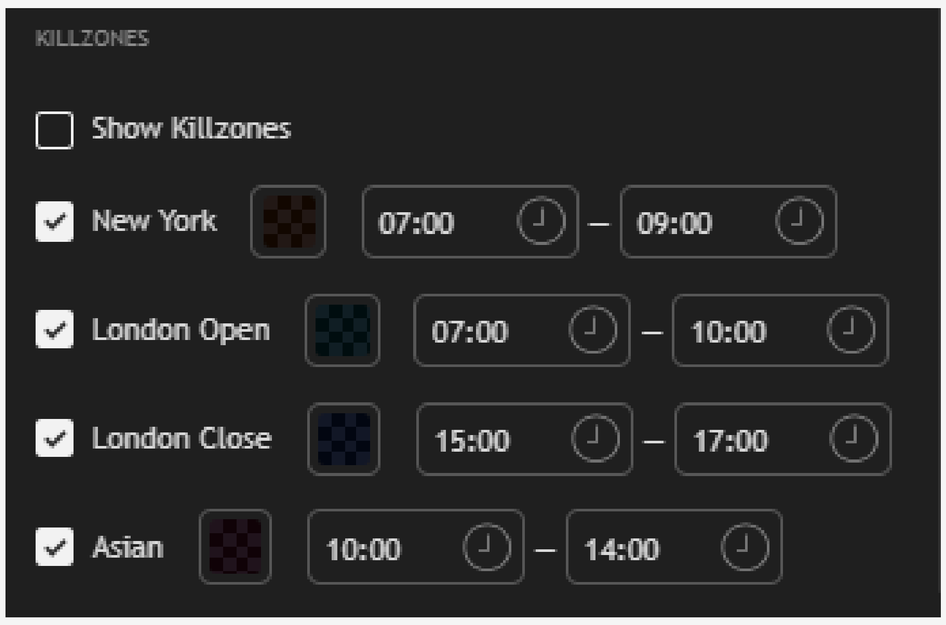
**Best for:**

- Range traders
- Crypto traders
- Patient setup identification
- Marking levels for London/NY

**Visual:**

- Pink/magenta background (default)
- Covers 4-hour window

## *Killzone Settings*




**Master Toggle:**

- OFF = All killzones hidden
- ON = Shows individual sessions based on their toggles

**Individual Toggles:**

- Enable only sessions you trade
- Reduces visual clutter
- Focus on relevant timeframes

**Color Customization:**

- Each session has customizable background color
- Default colors are distinct for easy identification
- Adjust transparency if too bright/dark

**Recommendations by Trading Style:**

**US Day Trader:**

- NY: ON
- London Close: ON
- Others: OFF

**Forex Trader:**

- London Open: ON
- NY: ON
- London Close: Optional
- Asian: OFF

**Crypto 24/7 Trader:**

- All: ON
- Helps identify which "session" behavior is occurring

## *Trading With Killzones*

**Strategy 1: Session Open Breakouts**

**Concept:**

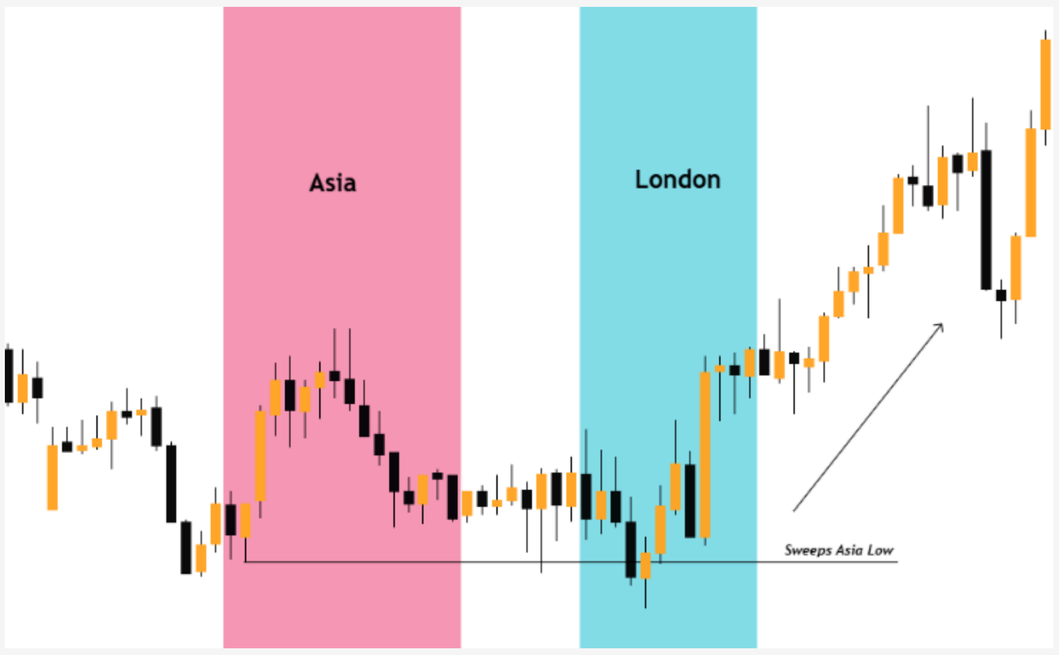
- Liquidity builds during low-volume session
- Next high-volume session sweeps and breaks

**Setup:**

1. Identify range formed during quiet session (Asian/London Close)
2. Mark highs and lows (liquidity pools)
3. Wait for next killzone to begin (London Open or NY)
4. Watch for sweep + breakout
5. Enter in breakout direction

**Example:**

- Asian session forms range
- London Open starts
- Price sweeps below (SSL taken)
- Strong reversal back into range
- Enter long above when breaks out
- Target: Next structure or 1:3 R:R



**Strategy 2: Killzone Reversal**

**Concept:**

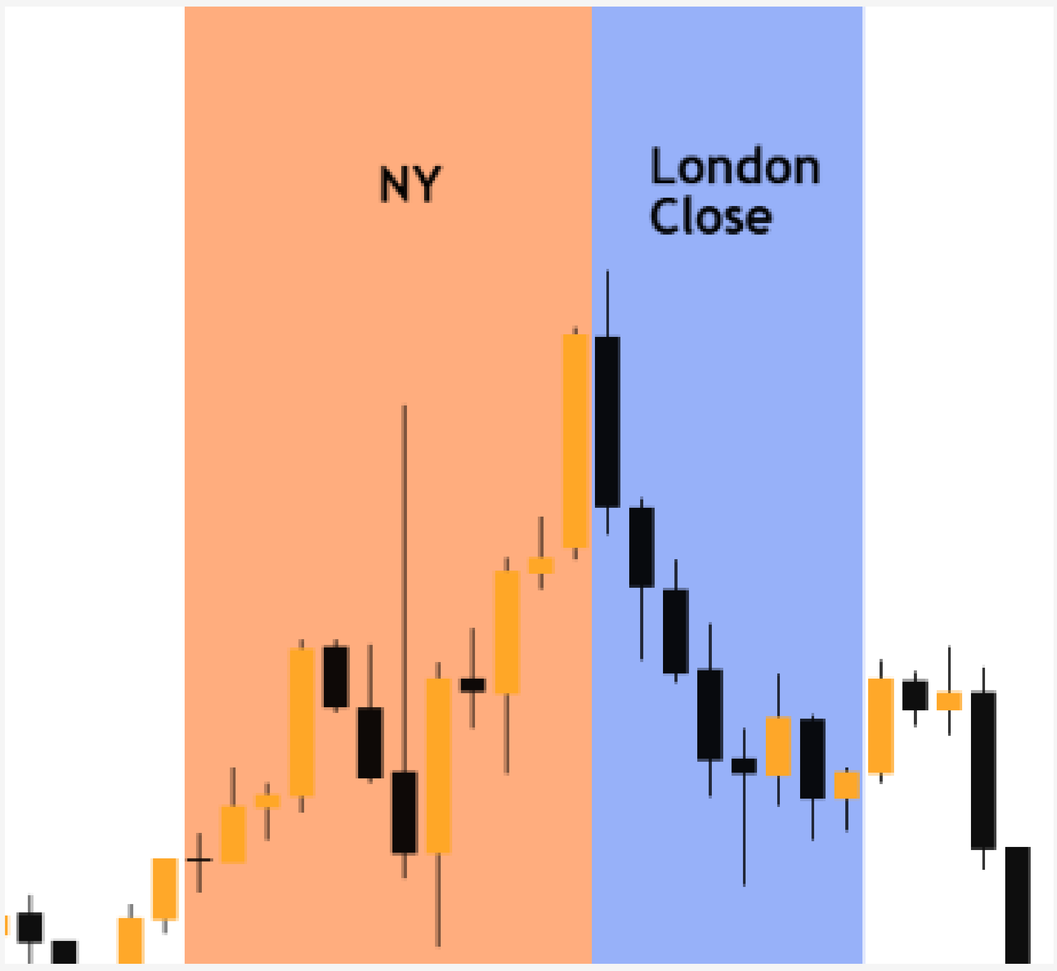
- Strong move during one session
- Reversal during next session

**Setup:**

1. Strong directional move during killzone
2. As session ends, momentum fades
3. Next session begins with reversal
4. Enter reversal direction

**Example:**

- NY session: Strong rally
- London Close begins (overlap)
- Price starts pulling back
- Enter short as London Close starts
- Target: Return toward session open or FVG fill




## *Session Characteristics by Market*

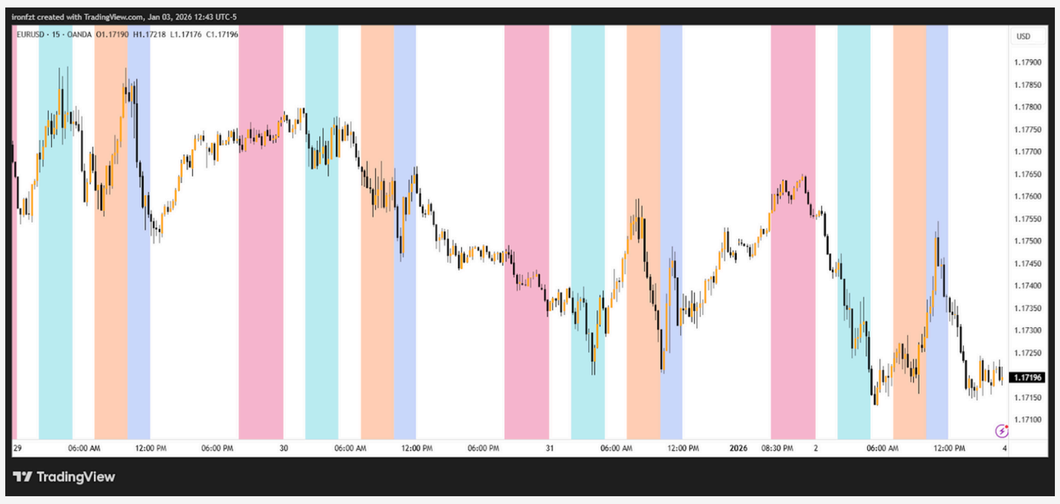
**Forex Markets**

**EUR/USD, GBP/USD:**

- Most active: London Open + NY overlap
- Quietest: Asian session
- Best trades: During London Open and first hour of NY

**USD/JPY, AUD/USD:**

- More active during Asian session
- Still peaks during London/NY
- Consider Asian session for these pairs



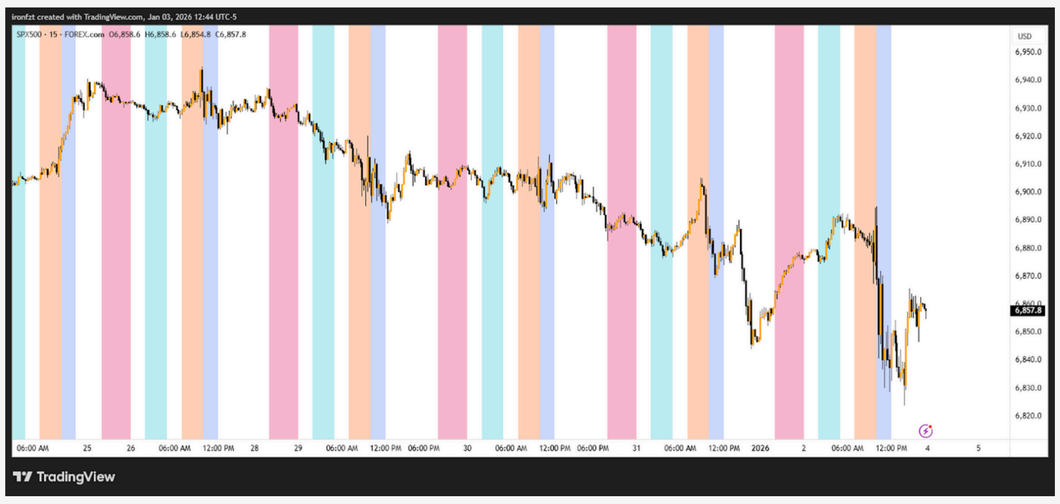

**Futures Markets (ES, NQ, YM)**

**Characteristics:**

- Futures trade nearly 24/7
- Highest volume: NY session (9:30 AM - 4:00 PM EST)
- Overnight session: Lower volume, ranges

**Best practices:**

- Focus on RTH (Regular Trading Hours) = NY session
- Use overnight ranges for liquidity identification
- Enter during NY killzone for best fills



**Crypto Markets**

**Characteristics:**

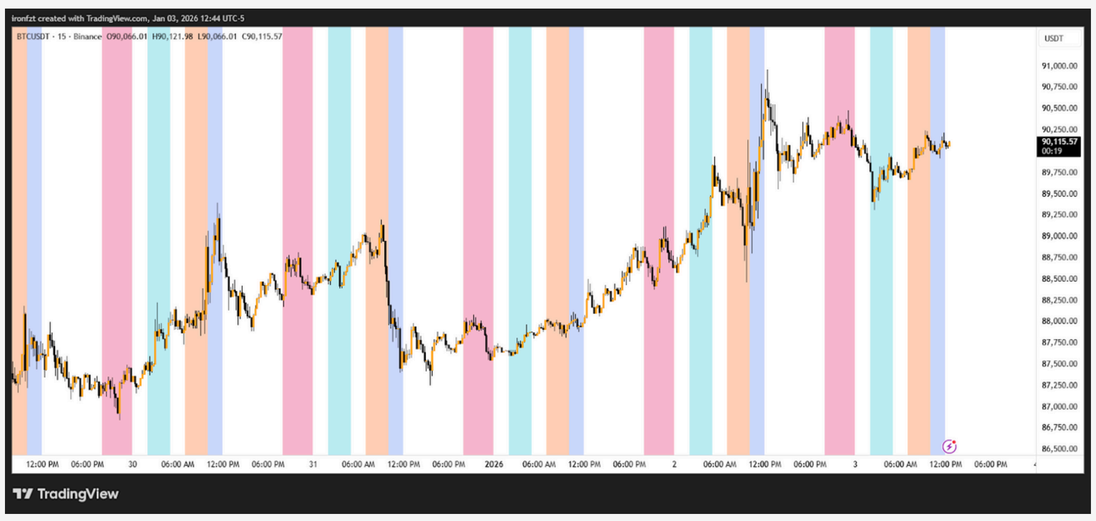
- True 24/7 trading
- No "official" opens/closes
- Still follows session patterns due to trader geography

**Behavior:**

- Asian session: Often quieter, ranging
- London Open: Volatility increases
- NY Open: Highest volume
- Weekend: Lower volume, gaps possible

**Best practices:**

- Use killzones to identify when volatility expected
- Major moves often coincide with London/NY
- Weekend gaps become NWOGs




## *Combining Killzones with Other Indicator Features*

**Killzones + Liquidity Sweeps**

**The Pattern:**

- Liquidity pool identified outside range
- Quiet session (Asian) consolidates
- High-volume session (London/NY) begins
- Sweep occurs within first 30-60 minutes
- Reversal follows

**Why it works:**

- Institutions wait for volume to execute
- Killzone provides liquidity for sweeps
- Timing becomes predictable

**Killzones + Order Blocks**

**The Pattern:**

- Order Block identified
- Price approaching OB
- Entry timed for killzone opening
- OB reaction stronger during high-volume session

**Why it works:**

- Institutions more active during killzones
- They defend their levels (OBs) more aggressively
- Higher probability of OB holding

**Killzones + FVG**

**The Pattern:**

- FVG exists
- Price approaching FVG
- Entry at FVG during killzone
- Rebalancing more likely during active session

**Why it works:**

- Algorithm activity highest during killzones
- Algorithms programmed to rebalance FVGs
- Better fill probability

## *Combining Killzones with Other Indicator Features*

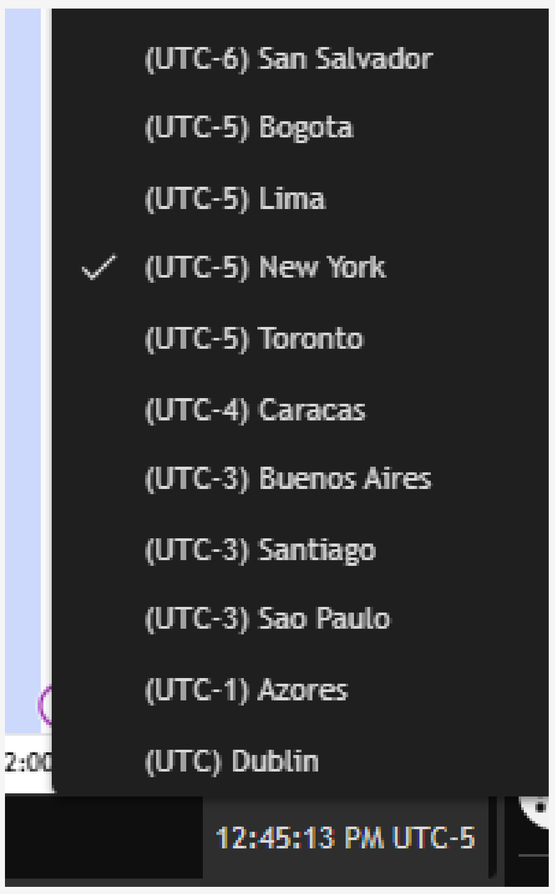
**Understanding Session Times in Your Zone**

The indicator uses specific time zones:

- **New York:** America/New_York (EST/EDT)
- **London:** Europe/London (GMT/BST)
- **Asian:** Asia/Tokyo (JST)

**Your TradingView must be set correctly:**

1. Go to Settings (gear icon)
2. Check "Timezone" setting
3. Ensure it matches your location OR choose "Exchange" timezone




**Session Overlap Windows**

**Highest Volume Periods (Overlaps):**
**London + New York (8:00 AM - 12:00 PM EST):**

- Both European and US markets open
- Maximum liquidity
- Tightest spreads
- Most institutional activity
- Best for aggressive traders

**Asian + London (2:00 AM - 3:00 AM EST):**

- Transition period
- Moderate volume increase
- Good for early movers

## *Killzone Trading Rules*

**DO:**
✓ Wait for killzone to begin before entering high-risk trades
✓ Use Asian session to identify levels, trade them during London/NY
✓ Expect higher volatility at killzone opens
✓ Set alerts for killzone beginnings
✓ Combine killzone timing with confluence setups
✓ Adjust position size for killzone volatility

**DON'T:**
✗ Trade large positions during off-hours (between killzones)
✗ Expect same behavior in all sessions
✗ Ignore your local timezone differences
✗ Force trades just because killzone started
✗ Trade all killzones (focus on 1-2 relevant to you)
✗ Forget that killzones are guides, not guarantees

## *Common Killzone Mistakes*

**Mistake 1: Trading all sessions**

- Problem: Overtrading, fatigue, forcing setups
- Solution: Pick 1-2 sessions that match your schedule

**Mistake 2: Entering before session starts**

- Problem: Missing the actual volatility/volume surge
- Solution: Wait for session to begin, first 15-30 minutes often best

**Mistake 3: Wrong timezone settings**

- Problem: Backgrounds appear at wrong times
- Solution: Verify TradingView timezone matches reality

**Mistake 4: Ignoring session character**

- Problem: Breakout strategy during London Close (consolidation session)
- Solution: Match strategy to session type

**Mistake 5: Relying only on killzones**

- Problem: No confluence, just timing
- Solution: Combine with structure, liquidity, OB, FVG



# FIBONACCI TOOL

***Understanding the Built-In Fibonacci***

The Smart Liquidity includes an automated Fibonacci retracement/extension tool that draws levels between the most recent instances of various indicator features.

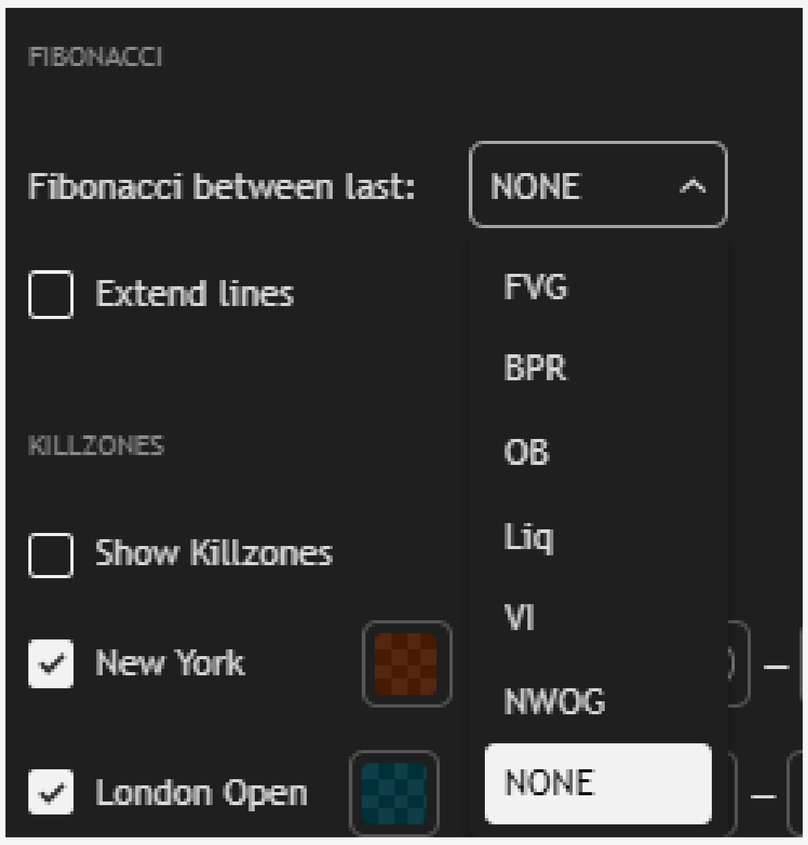
## *What Makes This Different*

**Traditional Fibonacci:**

- You manually draw from swing high to swing low
- Subjective (which swing to use?)
- Time-consuming
- Inconsistent between traders

**Smart Liquidity Fibonacci:**

- Automatically calculated
- Based on indicator's detected levels (OB, FVG, Liquidity, etc.)
- Objective and consistent
- Updates automatically
- Saves time



## *Fibonacci Between Last Options*

### Traditional Fibonacci Problems

❌ **Manual Fibonacci:**

- You draw from swing high to swing low
- Subjective (which swing to use?)
- Time-consuming
- Inconsistent between traders
- Easy to manipulate to fit your bias

✅ **Smart Liquidity Fibonacci:**

- Automatically calculated
- Based on indicator's detected levels
- Objective and consistent
- Updates automatically
- Saves massive time

### Available Fibonacci Options

The indicator can draw Fibonacci between:

**NONE (Default):**

- No Fibonacci lines
- Cleanest chart
- Use when not needed

**FVG:**

- Draws between last bullish FVG and last bearish FVG
- Shows retracement zones between imbalances
- Useful for consolidation analysis

**BPR:**

- Draws between last two Balance Price Ranges
- Advanced usage
- Shows equilibrium zones

**OB:**

- Draws between last bullish OB and last bearish OB
- Shows retracement between institutional levels
- **Very useful for swing trading**

**Liq:**

- Draws between last buyside liquidity and last sellside liquidity
- Shows equilibrium between liquidity pools
- Powerful for predicting consolidation zones

**VI:**

- Draws between last two Volume Imbalances
- Less common but useful when VIs are primary strategy

**NWOG:**

- Draws between last two New Week Opening Gaps
- For swing traders using weekly analysis

## *The Fibonacci Levels*

When enabled, the indicator draws these standard Fibonacci levels:

**Retracement Levels:**

- **0.236** (23.6%) - Shallow retracement
- **0.382** (38.2%) - Moderate retracement
- **0.500** (50.0%) - Equilibrium
- **0.618** (61.8%) - Golden ratio, deep retracement
- **0.786** (78.6%) - Very deep retracement

**Extension Levels:**

- **1.618** (161.8%) - Golden extension

**Additional:**

- **0 Line** - Start point
- **1 Line** - End point

**Color Coding:**

- 0 and 1: Silver/gray (start/end)
- 0.236, 0.786: Orange
- 0.382, 0.618: Yellow
- 0.500: Green
- 1.618: Yellow

## *Using Fibonacci for Retracements*

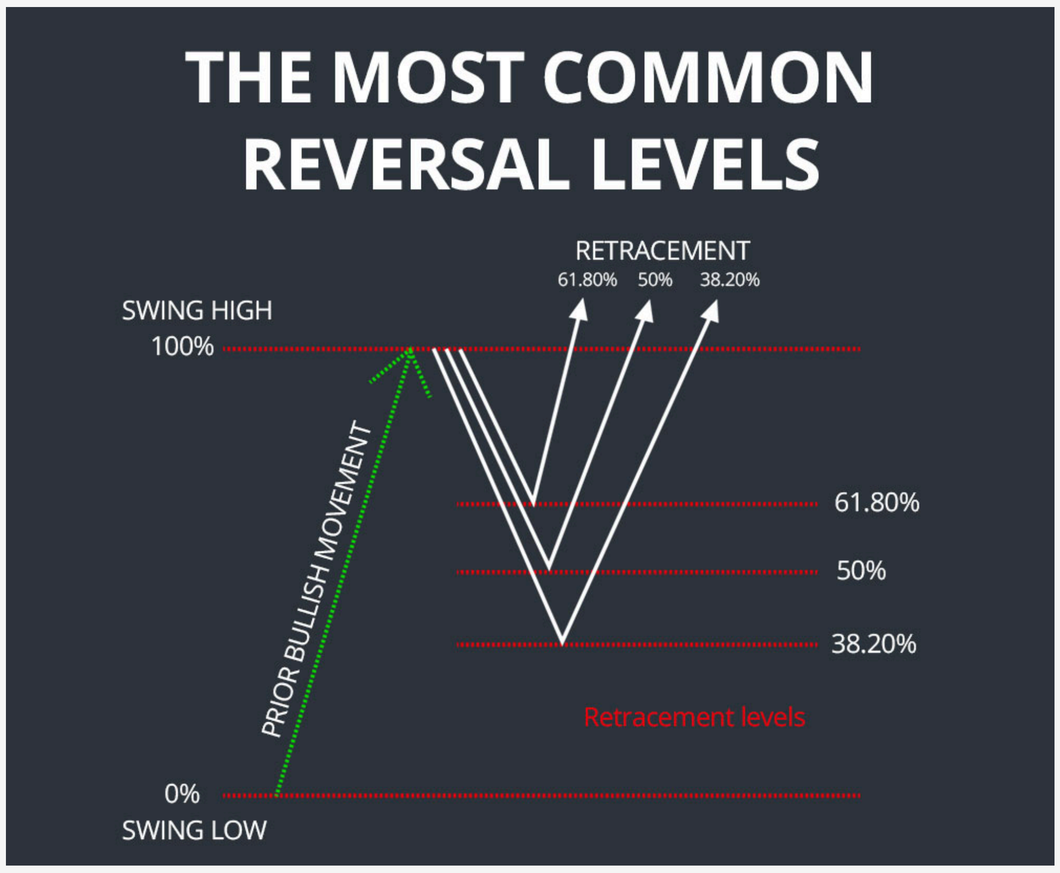
### *The 50% Rule*

**Most Common Retracement:** Price often retraces to 50% of the measured move before continuing.

**How to use it:**

1. Enable Fibonacci (choose relevant option)
2. Watch where 0.5 line appears
3. When price reaches 0.5, look for:
    - Order Block
    - FVG
    - Liquidity
    - Structure support/resistance

**Entry:** At or near 0.5 level with confluence
**Stop:** Beyond 0.786 level
**Target:** Extension or previous high/low




### The OTE Zone (0.618-0.786)

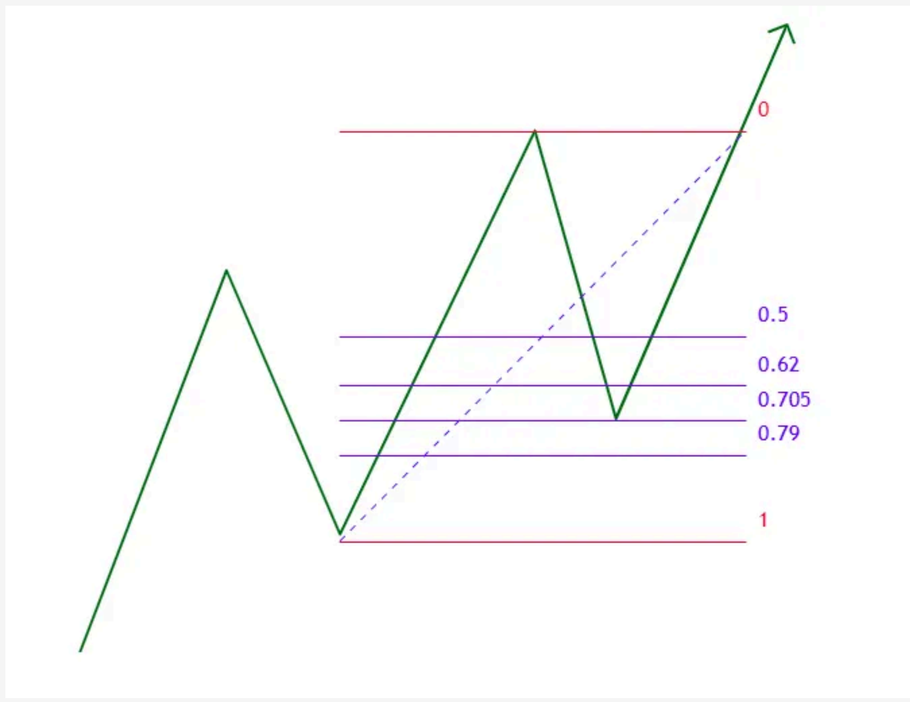
**Optimal Trade Entry:** The zone between 61.8% and 78.6% is considered the "sweet spot."

**Why:**

- Deep enough retracement for value
- Not too deep (would indicate weakness)
- Where smart money often enters
- Retail stops cluster just beyond 78.6%

**How to use it:**

1. Price retraces into OTE zone
2. Wait for reaction (reversal candle, displacement)
3. Enter when confluence appears in OTE
4. Stop beyond 78.6%
5. Target: 100% or extensions




### Shallow Retracements (0.236-0.382)

**Characteristics:**

- Strong trends
- Minimal pullback
- Quick continuation
- Aggressive entries

**When price only retraces to 0.236-0.382:**

- Indicates very strong momentum
- May not reach 0.5 or OTE
- Entry must be quick
- Smaller position size (might be trap)

## *Using Fibonacci for Extensions (Targets)*

### *The 1.618 Extension*

**Most Common Target:** When price breaks previous high/low, 1.618 extension is common target.

**How to use it:**

1. Entry at retracement (0.5, OTE, etc.)
2. Price continues past original move
3. 1.618 level = target for taking profits
4. Place limit order at 1.618

**Example:**

- FVG at $50,000 (Point A)
- FVG at $51,000 (Point B)
- Fib drawn between them
- Entry at $50,500 (0.5 retracement)
- Target at 1.618 extension = approximately $51,618
- Take profit there




**When to Use Fibonacci**

**Use Fibonacci between:**

**Order Blocks (OB):**

- Most powerful for swing trading
- Shows institutional retracement zones
- Use 0.5 and OTE for entries

**Liquidity (Liq):**

- Shows equilibrium between liquidity pools
- Predicts where price might consolidate
- Use for range trading

**FVG:**

- Shows retracement between imbalances
- Useful during consolidation
- Less useful during trends

**Don't use Fibonacci when:**

✗ Chart already cluttered
✗ Ranging market with no clear direction
✗ Only one side exists (need two points)
✗ Points too close together

The Smart Liquidity Fibonacci feature is optional but powerful. Turn it on when you need mathematical precision for entries and targets. Turn it off when you want a clean chart.

### *When NOT to Use Fibonacci*

**Scenario 1: Ranging market with no clear direction**

- Fib between equal levels is meaningless
- Wait for breakout

**Scenario 2: Only one side exists**

- Need two points to draw Fib
- Example: Only bullish FVGs, no bearish FVG
- Fib won't draw or will be invalid

**Scenario 3: Points too close together**

- FVGs only 20 points apart
- Fib levels too tight
- Not useful

**Scenario 4: Chart is already cluttered**

- Too many visual elements
- Fib adds confusion
- Keep it off



# SWEEP DETECTION

## *Understanding Liquidity Sweeps*

A sweep occurs when price briefly breaks through a key level (swing high or low) to trigger stop losses, then immediately reverses. The Smart Liquidity automatically detects and marks these events in real-time.

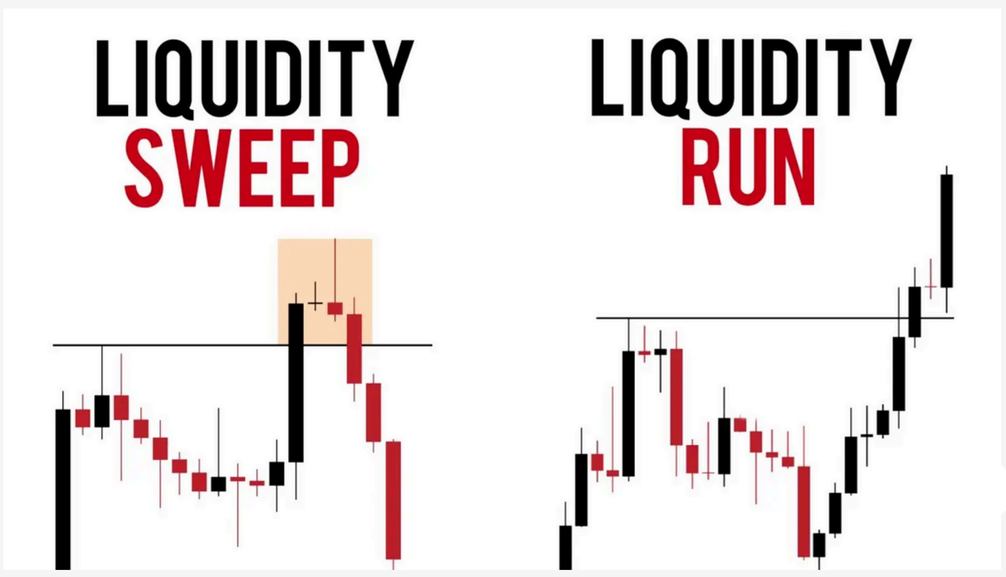
## *What is a Sweep?*

**Sweep =** Institutional manipulation to access liquidity

**The mechanism:**

1. Stops cluster beyond swing points
2. Institution needs liquidity to fill large order
3. They push price through swing point
4. Stops trigger (become market orders)
5. Institution fills their order with those market orders
6. Price immediately reverses
7. Retail trader's stop hit, institution's position filled

**This isn't random. It's calculated.**




**How Sweeps Are Marked**

The Smart Liquidity Indicator automatically detects sweeps using specific criteria.

**Bullish Sweep Detection**

**Requirements:**

1. Swing low identified (previous low point)
2. Current candle's low breaks below swing low
3. Current candle's close is AT OR ABOVE swing low
4. This creates a "false breakdown"

**What it means:**

- Price pushed below support
- Couldn't hold below (lack of selling)
- Closed back above
- = Bullish sweep (fake breakdown, real move up)




## Bearish Sweep Detection

**Requirements:**

1. Swing high identified (previous high point)
2. Current candle's high breaks above swing high
3. Current candle's close is AT OR BELOW swing high
4. This creates a "false breakout"

**What it means:**

- Price pushed above resistance
- Couldn't hold above (lack of buying)
- Closed back below
- = Bearish sweep (fake breakout, real move down)

**Visual:** Red line from swing high to current bar at swing high level

## Equal Highs/Lows Sweeps

The **most powerful** sweeps occur at Equal Highs (EQH) and Equal Lows (EQL).

**What are they:**

- Multiple swing highs at same level = EQH
- Multiple swing lows at same level = EQL
- "Triple top" or "triple bottom" in retail terms

**Why they're powerful:**

- Each test adds more stops
- More traders placing stops just beyond
- MASSIVE liquidity pool
- When swept, reversals are explosive

**How to trade them:**

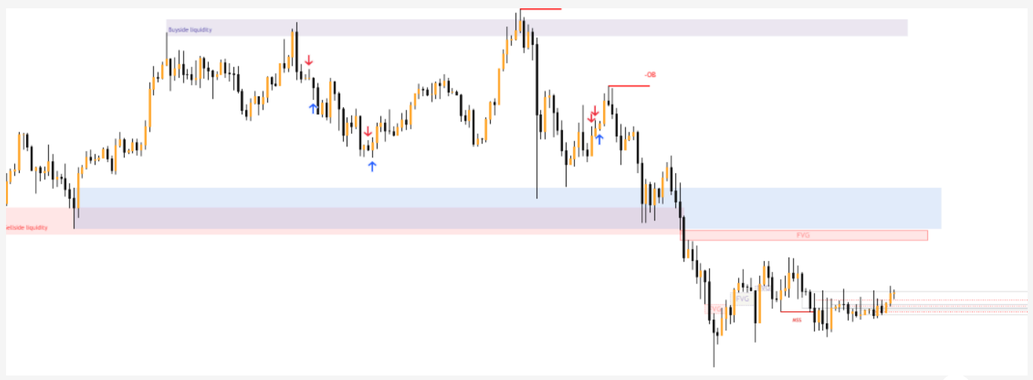
1. Identify EQH/EQL (3+ swings at same level)
2. Wait for the sweep
3. Enter aggressively on reversal
4. Expect the strongest move of the day/week

These are the setups I wait for all day. Don't miss these.





# TRADING STRATEGIES



## *Complete Setup Process*

Now that you understand every component, here's how to put it all together for actual trading.

### *The Top-Down Analysis Framework*

**Step 1: Higher Timeframe Structure (Daily or 4H)**
Open Daily chart with indicator:

1. **Identify trend direction:**
   - Look at MSS lines
   - Current direction = bullish or bearish?
   - Is structure clean or choppy?
2. **Mark key liquidity:**
   - Note BSL above (resistance liquidity)
   - Note SSL below (support liquidity)
   - Which is most likely to be targeted next?
3. **Identify major Order Blocks:**
   - Show last 2-3 OBs
   - Which are still valid (not broken)?
   - Which align with structure direction?
4. **Note session gaps:**
   - Any NWOG present?
   - Does price need to fill it?

**Result**: You now know the overall bias (long or short) and key zones to watch.

**Step 2: Intermediate Timeframe Entry Zones (1H or 15M)**
Drop to 1H chart with indicator:

1. **Confirm structure aligns:**
   - Does 1H structure agree with Daily?
   - If Daily is bullish, is 1H showing BOS upward?
2. **Identify entry zones:**
   - FVGs in discount (for longs) or premium (for shorts)
   - Order Blocks aligned with structure
   - Volume Imbalances at key levels
3. **Watch for sweeps:**
   - Is price approaching liquidity?
   - Sweep detection enabled
   - Ready to enter on sweep + reversal

**Result:** You have 2-3 specific zones where you'll enter if price reaches them.

**Step 3: Execution Timeframe Entry Trigger (15M or 5M)**

Drop to 15M chart with indicator:

1. **Wait for price to reach entry zone**
2. **Look for trigger:**
    - Displacement in entry direction
    - FVG formation
    - Sweep + reversal
    - MSS or BOS confirmation
3. **Execute:**
    - Enter at trigger
    - Stop beyond zone
    - Target based on Daily analysis

**Result:** Precise entry with tight stop, high probability setup.




## *Strategy 1: MSS Reversal with Order Block Entry*

**The Setup**

**Timeframe:** Daily for structure, 1H for entry
**Components:** MSS + Order Block + FVG (optional)
**Direction:** Counter-trend reversal

**Criteria:**

1. Clear trend on Daily (multiple BOS in one direction)
2. Price reaches extreme (Daily liquidity or structure level)
3. MSS appears (structure breaks opposite direction)
4. Order Block forms at the reversal point
5. Ideally, FVG overlaps with OB

**The Trade**

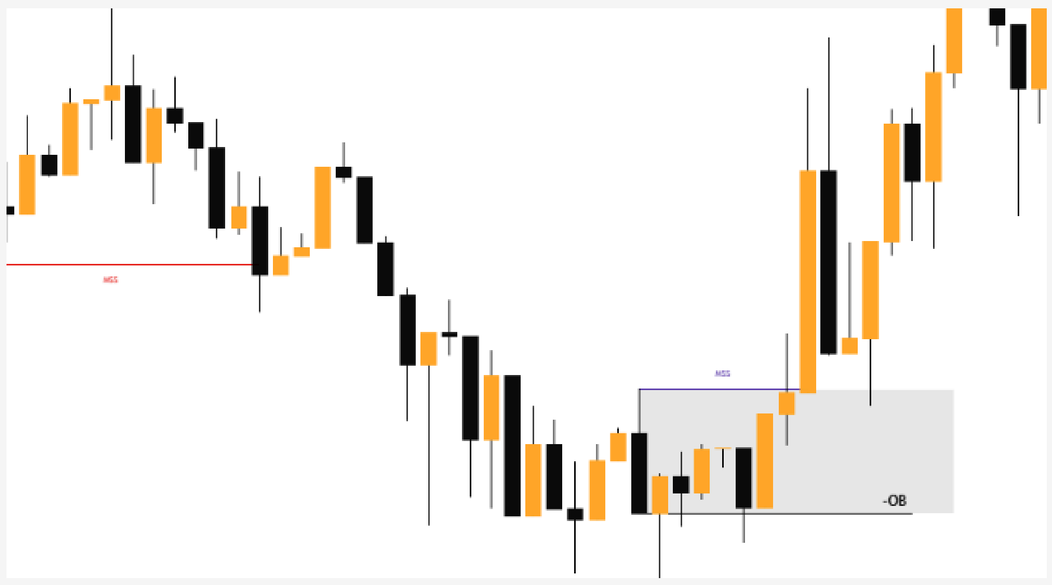
**Entry Process:**

1. Wait for MSS on Daily
2. Mark the Order Block that formed before MSS
3. Price continues briefly, then pulls back
4. Drop to 1H
5. Enter when price tests OB + FVG zone
6. Confirmation: 15M displacement or structure break

**Stop Loss:** Below OB (for longs) or above OB (for shorts)

**Targets:**

- Conservative: 0.5 Fibonacci back to previous structure
- Moderate: Previous swing high/low
- Aggressive: Opposite liquidity pool



### *Strategy 2: Liquidity Sweep into FVG*

**The Setup**

**Timeframe:** 4H for structure, 15M for entry
**Components:** Liquidity + Sweep + FVG
**Direction:** With structure trend

**Criteria:**

1. Clear trend on 4H
2. Liquidity pool identified (SSL in uptrend, BSL in downtrend)
3. Price approaches liquidity
4. Sweep occurs (sweep line appears)
5. FVG forms during reversal from sweep

**The Trade**

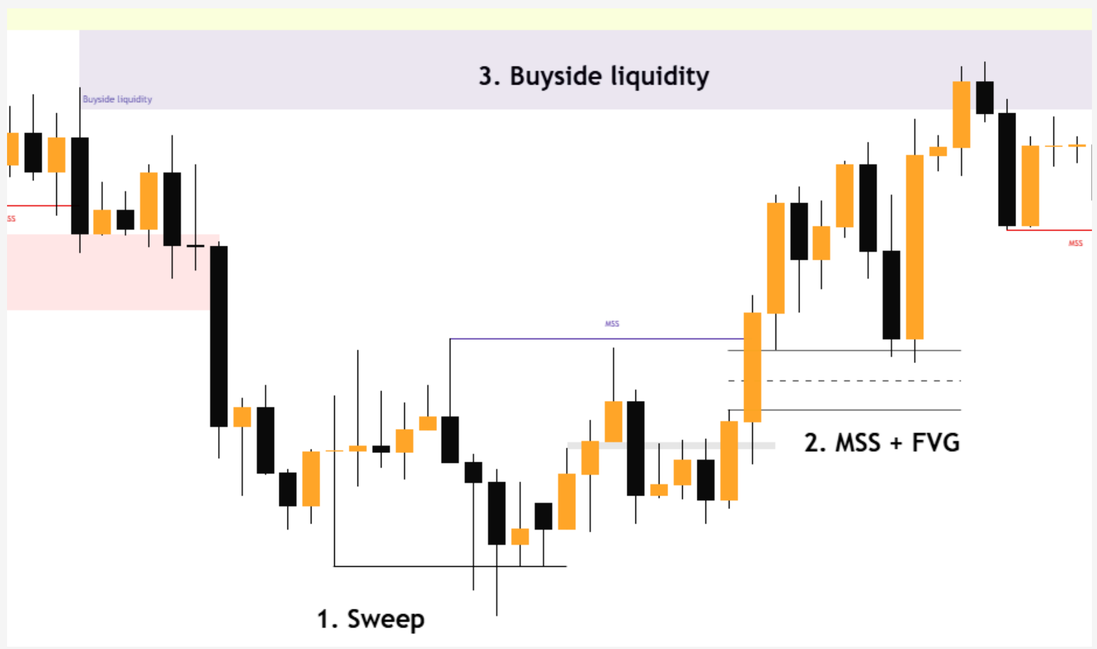
**Entry Process:**

1. Identify liquidity on 4H (SSL or BSL)
2. Wait for price to approach
3. Watch for sweep (indicator draws line)
4. FVG should form as price reverses
5. Drop to 15M
6. Enter at FVG 50% level
7. Or enter on displacement candle

**Stop Loss:** Beyond sweep wick

**Targets:**

- Conservative: Previous swing in trend direction
- Moderate: Opposite liquidity
- Aggressive: Next major structure level




### *Strategy 3: BOS Continuation with Volume Imbalance*

**The Setup**

**Timeframe:** 1H for structure, 5M for entry
**Components:** BOS + Volume Imbalance
**Direction:** Trend continuation

**Criteria:**

1. MSS already established trend on 1H
2. First BOS occurs (confirms trend strength)
3. Price pulls back
4. Volume Imbalance forms during pullback
5. Second BOS occurs (continuation)

**The Trade**

**Entry Process:**

1. Wait for first BOS confirming trend
2. Price pulls back, VI forms
3. Enter at VI retest
4. Or wait for second BOS, enter on pullback to VI

**Stop Loss:** Beyond VI zone

**Targets:**

- Conservative: Next BOS level
- Moderate: Major structure level
- Aggressive: Opposite liquidity from start

## Thank You for Reading

Thank you sincerely for taking the time to read this book. I hope the concepts and strategies shared here have given you valuable insights into trading and helped you develop a deeper understanding of market dynamics.

Trading is a journey of continuous learning, and my goal was to equip you with practical knowledge that you can apply in your own trading endeavors. Whether you're just starting out or refining your existing skills, I hope these concepts serve you well as you navigate the markets.

**If you'd like to take your trading to the next level**, the **Smart Liquidity Indicator** featured throughout this book is now available for purchase.

**Smart Liquidity Indicator - $49.99 ONLY**
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# Endnote

## Thank You

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